

Due Diligence Support Report – First National Financial LP (TSX: FN)

1. Segmented Profit and Loss Statement (Prime Single-Family, Alt-A, MURC, Third-Party Underwriting)

FDD Context and Approach:

- **Relevance:** Breaking down First National's P&L by business line (Prime single-family, Alt-A, multi-unit & commercial (MURC), and third-party underwriting services) reveals the drivers of earnings and risk in each segment. In financial due diligence (FDD) or quality of earnings (QoE) analysis, understanding segment profitability helps assess sustainability and concentration of earnings.
- **Due Diligence Procedures:** Analysts typically request internally segmented financials to separate revenue, direct costs, and contribution margins for each product line. They evaluate growth trends (e.g. origination volumes) and margin differences between Prime vs. Alt-A mortgages, as well as commercial (MURC) vs. residential. Cost allocations (overhead vs. direct expenses) are scrutinized to ensure each segment's profitability is accurately stated. Adjustments may be made for any cross-subsidization or misallocated costs to reflect true economic performance.
- **Management Information Requests:** A due diligence team would ask management for a detailed breakdown of revenue and pre-tax income by segment beyond the IFRS reporting (which consolidates some categories). This includes separate P&Ls for Prime residential vs. Alt-A (e.g. the "Excalibur" program) within the single-family segment, the multi-unit residential & commercial segment, and the third-party underwriting & fulfillment business. Key metrics like originations, margins, and credit costs per segment for FY2021 through LTM Q1-2025 would be requested to identify trends.

Analysis of Segment Performance (FY2021–2024):

- **Residential (Prime Single-Family & Alt-A):** First National's core Residential segment (primarily prime insured mortgages and a growing Alt-A portfolio branded "Excalibur") contributed the majority of originations and earnings. Total single-family originations (including renewals) were \$22.6 billion in 2024, down 7% from 2023, reflecting intense competition in the broker channel ¹. Within this, **prime insured mortgages** form the bulk of volume, while the **Excalibur Alt-A program** (launched 2019) targets alternative borrowers at higher rates. Alt-A loans use broader underwriting criteria than prime, carry higher yields, and have performed well with "almost no realized loan-loss experience" to date ² ³. Management notes that Excalibur's success in 2024 favorably affected residential earnings by providing incremental securitization spread with minimal credit loss ⁴. Residential segment revenue grew 6% in 2024 despite lower volumes, but segment pre-tax income fell 25% (to \$155.8 million) due to tighter margins and higher costs ⁵ ⁶.
- **Commercial (Multi-Unit Residential & Commercial, "MURC"):** The Commercial segment exhibited strong growth, with origination volumes of \$14.9 billion in 2024 (including renewals), up 14% from 2023 ¹. Demand was driven by insured multi-unit apartment financing – an area of core expertise for First National ⁷. Segment revenues grew 17% in 2024 on portfolio growth ⁵. However, pre-tax income for Commercial declined 12% year-over-year ⁶. This profit drop was mainly due to a strategic shift: management chose to securitize more commercial mortgages directly (retaining interest spread instead of upfront placement

fees), which increases long-term revenue but defers earnings to future periods while incurring immediate origination expenses (e.g. commission bonuses) ⁸ . In essence, 2024 commercial results were dampened by higher incentive costs and the absence of one-time placement gains, even as underlying asset growth was robust.

- **Third-Party Underwriting & Fulfillment Services:** First National's third-party underwriting business adds a fee-based revenue stream by adjudicating mortgages for partner institutions. Launched in 2015 with a major Schedule I bank, this platform leverages FN's MERLIN underwriting technology to process broker-originated applications under that bank's brand and risk criteria ⁹ ¹⁰ . The bank (and two additional bank partners added in late 2019 and 2023) fund these mortgages and assume the credit risk, while First National earns **service fees upon funding** ¹¹ ¹² . This business diversifies FN's income beyond its own originations ¹³ . From 2021–2023, third-party underwriting grew steadily as new bank clients were onboarded. However, in 2024 revenue from this line dipped due to lower volumes from partners, partially offsetting growth in other servicing income ¹⁴ ¹⁵ . FN incurred additional operating expenses in 2024 to support a new bank client's launch (e.g. dedicated underwriting staff and IT integration) ¹⁶ . Despite short-term margin compression, management sees this segment as strategically important for leveraging FN's platform and generating stable fee income ¹⁷ ¹⁸ .

- **Revenue and Profit Mix:** Overall, First National's consolidated revenue streams are well-diversified across these activities. In 2024, **Residential** mortgages (prime and Alt-A) accounted for about 70% of originations, with **Commercial** at 30% ⁵ . The IFRS segment results show Residential contributing \$155.8 million and Commercial \$120.8 million to pre-tax income in 2024 ⁶ . Notably, the Residential segment's P&L includes both prime and Alt-A results and also the third-party servicing fees (categorized within servicing income). The latter is evidenced by a slight revenue decline in servicing in 2024 attributable to lower third-party underwriting fees ¹⁴ . An important point for QoE is that a significant portion of FN's earnings is generated from **capital-light servicing and placement fees** rather than net interest spread, which tends to bolster cash flow (as many fees are received upfront in cash). For example, over \$11.9 billion of single-family and \$9.5 billion of multi-unit mortgages were placed with institutional investors in 2024, generating immediate placement fees and ongoing servicing income while transferring credit risk to the investors ¹⁹ ²⁰ .

Q1 2025 Update and Trends:

- **Resurgent Origination Activity:** First National entered 2025 with strong momentum. Total originations (including renewals) in Q1 2025 were \$8.3 billion, up sharply from \$6.5 billion in Q1 2024 ²¹ . Single-family residential volume surged 34% year-over-year, reflecting a sizeable pipeline of mortgage commitments and an exceptionally strong quarter for renewals ²² . Commercial segment originations also grew 18% in Q1 2025, driven by continued demand for insured multi-unit financing ²³ . This rebound suggests that, despite higher interest rates, FN is capturing market share and benefitting from clients coming up for renewal (likely those originated during 2020–21's low-rate era).

- **Segment Revenue Mix:** In Q1 2025, consolidated revenue increased 2% YoY to \$528.9 million ²⁴ . However, the composition of this revenue reveals divergent segment trends. **Net interest income (NII) on securitized mortgages** declined ~2% YoY to \$53.1 million despite 12% growth in the securitized mortgage portfolio ²⁵ . This indicates narrower net interest margin (discussed in Section 2) within the Residential book, as high-yield pandemic-era mortgages amortize and new securitizations are at tighter spreads ²⁵ . **Placement fees** rose 2% to \$45.9 million on significantly higher placement volumes, though a mix shift toward renewals (which earn lower per-loan fees than new originations) tempered the fee growth ²⁶ ²⁷ . **Mortgage servicing income** declined 3% YoY to \$55.2 million, due to reduced third-party underwriting revenue and lower interest earned on borrower escrow deposits (a result of the Bank of Canada rate cuts in early 2025) ²⁸ . Meanwhile, **mortgage investment income** (interest on mortgages awaiting securitization or on FN's own mortgage investments) jumped 15% to \$36.0 million, reflecting a larger average inventory of

mortgages held for securitization as FN opted to fund more loans on-balance sheet for future securitization ²⁹ . Finally, **gains on deferred placement fees** (profit on sale of certain mortgages where FN retains a residual spread) were only \$1.6 million in Q1 2025, down 70% from \$5.4 million a year prior, owing to much lower multi-unit mortgage sale volumes and tighter spreads on those transactions ³⁰ . This aligns with management's commentary that institutional appetite for uninsured commercial mortgages was somewhat lower and less lucrative in early 2025.

- **Earnings Impact:** The net result for Q1 2025 was income before tax of \$33.0 million, barely half of the \$67.9 million earned in Q1 2024 ³¹ . After stripping out fair value gains/losses on financial instruments (see Section 3), **Pre-FMV income** was \$52.6 million, down 16% YoY ³² . The key negative factors were: **(1)** a decline in third-party underwriting revenue due to reduced volumes from FN's bank partners; **(2)** narrower net interest spreads on newly securitized residential mortgages (compressing immediate net interest earnings); and **(3)** higher operating costs, notably a \$1.4 million increase in technology expenses as FN continues to invest in its systems ³³ . Conversely, the strong growth in origination volumes bodes well for future revenue through servicing and interest spread, even if not fully reflected in Q1 earnings.

Implications and Risks (Free Cash Flow & EBITDA):

- **Earnings Quality and Mix:** The segmented analysis highlights that a large share of FN's earnings come from **fee-based and servicing income** (placement fees, servicing/admin fees) which are cash-rich and repeatable as long as mortgage volumes and MUA (Mortgages Under Administration) grow. These income streams generally convert to cash quickly (placement fees are received upfront in cash at mortgage funding ³⁴), supporting strong operating cash flow. By contrast, net interest margin from securitized mortgages, while stable, is a slower burn of cash over time. For financeable EBITDA, lenders often view servicing and placement fees favorably as they are ongoing and low-risk, but will be mindful that they depend on continued mortgage origination and renewal activity (which can be cyclical).

- **Segment Risks:** Prime single-family lending is a mature, highly competitive sector – any compression in broker spreads or loss of broker market share could squeeze FN's prime segment margins. Alt-A lending, though currently a small portion, carries higher credit risk; however, FN's approach has been to securitize or sell most Alt-A production (including using bank-sponsored conduits) ³⁵ ³⁶ , thus transferring risk off balance sheet. The **Commercial/MURC segment** is more volatile in earnings because of the timing of revenue recognition (as seen in 2024 when more securitization reduced short-term profit) and also exposure to real estate market cycles (e.g. multi-unit loan demand could fluctuate with housing programs and interest rates). Diligence should consider normalizing earnings for any **strategy shifts** (like the 2024 increase in securitizations) to gauge underlying cash generation.

- **Third-Party Business:** The underwriting services segment provides stable fee income but relies on the strategic decisions of FN's partner banks. A reduction or termination of any partnership (or simply lower volumes due to those banks tightening credit) directly reduces FN's servicing income. Indeed, the 2024–Q1 2025 dip in third-party fees shows this sensitivity ¹⁴ . Since costs to support this business (staff, technology) are largely fixed once in place, a volume shortfall can impact margins disproportionately. This is a risk to consider in QoE – one might normalize earnings to exclude unusually high or low third-party volumes and assume a sustainable run-rate.

- **Overall Insight:** From an FCF perspective, FN's multi-segment model has historically generated robust cash flows with relatively modest credit risk retention. The key is that **over 50%** of total revenues in recent years have come from **“placement and servicing” activities** ³⁷ ³⁸ , which tend to be fee-based and collected upfront or throughout the mortgage term. This underpins strong cash conversion. However, the due diligence team should stress-test each segment: e.g., what if housing market volumes drop and placement fees fall? What if a bank partner exits? By isolating segment P&Ls, one can adjust EBITDA for

these scenarios (such as removing earnings from a segment if deemed non-recurring or at risk) to arrive at a **financeable EBITDA** that a lender would be comfortable underwriting against.

2. Net Interest Margin (NIM) – GAAP vs. Treasury View (Capitalized vs. Cash Basis)

FDD Context and Approach:

- **Relevance:** Net Interest Margin is a critical indicator of profitability for mortgage lenders, measuring the spread between interest income on mortgages and the interest cost of funding those mortgages. For First National, NIM analysis is complex because of **different accounting treatments**: some mortgages are sold (generating upfront fee income) while others are securitized and held on-balance sheet (generating interest income over time). A due diligence team must distinguish between **GAAP NIM** (as reported in financial statements) and the **“economic” or cash NIM** the company earns, which might be managed by the Treasury function. Timing differences arise from IFRS accounting (e.g. capitalizing certain costs or deferring income), so QoE analysis will adjust for these to understand the true spread business.

- **Due Diligence Procedures:** Key steps include reconstructing the net interest margin on a cash basis: for securitized mortgages, calculate the yield earned minus actual cash funding costs (including the effect of hedges and any deferred costs amortization). For placed mortgages, recognize that economic NIM is realized immediately as placement fees (so while GAAP shows no ongoing NII for sold loans, the **Treasury view** might consider the implicit spread earned upfront). Diligence would involve reviewing the **effective interest rate (EIR) accounting** – e.g. broker commissions on securitized loans are capitalized and amortized, and securitization debt issuance costs are deferred ³⁹ ⁴⁰. An understanding of these practices is needed to adjust EBITDA to a cash basis.

- **Management Information Requests:** The team would ask for breakdowns of net interest income by portfolio (perhaps a yield analysis by cohort of mortgages). For example, a schedule of average mortgage rates and funding costs for prime insured, Alt-A, and commercial loans – compared to what is reported under IFRS. Additionally, details of any **capitalized interest or costs** (such as interest incurred during warehousing or deferred hedging gains/losses) would be requested to quantify differences between accounting income and cash flow. Management might also be asked for internal metrics like “spread income earned on assets vs. placements” that they use to run the business.

Analysis of NIM and Recognition Differences:

- **GAAP Net Interest Income:** Under IFRS, First National reports **“Net interest – securitized mortgages”** as a key line item, which was \$226.4 million in 2024 (up ~5% from \$216.6 million in 2023) ⁴¹ ⁴². This represents the interest earned on mortgages FN holds in its securitization vehicles minus the interest paid on the associated securitization debt. GAAP NII steadily grew through 2021–2024 as FN’s portfolio of securitized mortgages expanded (12% growth in 2024) ²⁵. However, the **NIM (margin) within that NII tightened**, especially in late 2023 and 2024. Management noted that residential NIM was narrower because many high-margin mortgages originated during the ultra-low-rate pandemic period are now amortizing or renewing at lower spreads, and because funding costs (like Asset-Backed Commercial Paper for short-term funding) did not immediately decrease in tandem with the central bank’s rate cuts ²⁵. This dynamic caused a slight decline in residential NII in Q1 2025 despite a larger asset base, as seen by a 2% NII drop on 12% asset growth ²⁵.

- **Economic vs. Accounting Timing:** Due to accounting rules, some interest spread is effectively recognized upfront as a gain on sale instead of over time. Specifically, when FN places mortgages with institutional investors, it may earn an excess spread (if the mortgage rate exceeds the investor’s required yield) which is

recorded as a **“Deferred placement fee receivable”** and recognized over the life of the mortgage ⁴³ ⁴⁴ . In cases where mortgages are securitized, no such immediate gain is taken; the earnings emerge as NII over the term. Management explains that in recent years, whenever they hedge and commit mortgages at rates that lead to an excess spread, IFRS often forces a portion of that profit into current earnings as a mark-to-market gain, resulting in a slightly lower spread later on ⁴⁵ ⁴⁶ . For example, **“when the Company records gains on the hedges, the mortgages securitized had comparatively narrower securitization spreads... effectively, some of the spread otherwise earned over the mortgage term was recorded upfront”** ⁴⁵ ⁴⁶ . Over 2020–2022, FN consistently recorded such gains on its single-family interest rate hedges, which reduced reported NIM in subsequent periods by management’s estimate of ~\$8 million in 2024 (since part of the economic interest was already taken into income earlier) ⁴⁷ . This highlights that GAAP NIM in 2024 was somewhat understated relative to the true long-term spread, because prior year gains had effectively pulled earnings forward. Conversely, in Q1 2025 the company experienced losses on hedges (as rates fell – see Section 3), which means future reported NIM will be **higher** than otherwise, as those mortgages will earn wider spreads over their life with the loss already recognized upfront ⁴⁸ ⁴⁹ .

- **Capitalized Costs and Yield Adjustments:** Another GAAP vs cash consideration is how upfront costs are handled. **Brokerage fees paid** on mortgages that FN securitizes are not expensed immediately; instead, they are capitalized into the mortgage asset cost and amortized via a yield adjustment over the mortgage term ⁵⁰ ⁵¹ . Similarly, any **premiums or discounts on issued securitization debt** (for example, if FN issues NHA MBS at a price not equal to par) and transaction costs are deferred and amortized into interest expense using effective interest rate method ³⁹ ⁴⁰ . The implication is that the **cash outflow** (broker fee paid at origination) is higher than the GAAP expense in the early life of the mortgage, whereas GAAP will show that cost spread over many periods. For QoE, one might adjust EBITDA to reflect the **actual cash cost** of origination in the period to avoid overstating cash earnings. However, in First National’s case, these timing differences tend to be small relative to total income and largely confined to the securitized portion of the book. The majority of single-family originations are either sold to institutional investors for an immediate fee or securitized and sold into CMHC’s Canada Mortgage Bond (CMB) program (where any gain on sale is recognized); thus, the distortions in NIM are more pronounced when hedging gains/losses occur than from cost amortization.

Q1 2025 Update – NIM Trends:

- **Residential NIM Compression:** As noted, Q1 2025 saw narrower net interest margins in the residential segment. Although FN’s average securitized mortgage portfolio was larger, the net interest revenue on securitized mortgages slipped to \$53.1 million from \$54.1 million a year earlier ²⁵ . The company attributed this to the runoff of older, higher-spread mortgages and a lag in funding cost relief. Notably, the Bank of Canada began to cut overnight rates in early 2025, but spreads on certain funding channels (like ABCP used for interim funding) did not tighten immediately ²⁵ . This means FN was still carrying elevated funding costs from 2024 into Q1, squeezing NIM until those costs reset lower. We should expect some NIM improvement in subsequent quarters if market rates stabilize at lower levels.

- **Commercial NIM Stability:** The commercial segment’s interest margin is somewhat differently structured: much of FN’s multi-unit commercial origination is either sold with deferred placement gains or securitized with actual hedge accounting (FN qualifies for hedge accounting on multi-unit mortgages commitments, reducing income volatility). In Q1 2025, commercial NII was not explicitly broken out in the press release, but full-year 2024 data showed commercial net interest increasing as portfolios grew ⁵² . FN also reduced its exposure to non-core **commercial bridge loans** in 2024 by selling about \$50 million of these loans to institutional investors ⁵³ ⁵⁴ . That move lowers interest income (since those loans carried high rates) but also lowers risk and capital usage. By Q1 2025, the focus remained on funded multi-unit insured mortgages

- these tend to have thinner spreads (since they are low risk) but very low credit cost.
- **Treasury Perspective:** From a treasury management viewpoint, FN's overall spread on mortgages (blended across those sold and those held) likely remained healthy in Q1 2025 despite what GAAP NIM shows. The company placed \$4.9 billion of mortgages with investors in the quarter, immediately monetizing those via placement fees ²¹. If those mortgages had instead been securitized and held, FN's reported NII would be higher – so the trade-off is between NII and fee income. To truly evaluate NIM, one could compute an adjusted spread income including placement fees amortized over the life of the loans. Management indicated that placement fee per unit was down ~4% in 2024 due to more renewals (which is akin to a slight drop in economic NIM on new originations) ⁵⁵. There is no direct quarterly metric disclosed, but the increased proportion of renewals in Q1 2025 suggests a modest headwind to per-loan revenue (since renewals usually have no broker commission but lower fees charged). This implies the “economic NIM or gain” on renewing mortgages is thinner than on newly originated mortgages (competition drives lower renewal rates/fees).

Implications and QoE Adjustments:

- **Normalized Margin Analysis:** For due diligence, a normalized NIM analysis would add back the effect of hedging losses to Q1 2025 earnings (and conversely subtract the 2022–2023 hedging gains from those periods) to see the underlying interest margin. FN itself provides a “Pre-FMV Income” metric to facilitate this ³². Using that, one can observe that core pre-fair value profitability in Q1 2025 was \$52.6 million versus \$62.7 million a year ago ³², a smaller decline than IFRS earnings indicated. After normalization, the trend suggests margin pressure but not as drastic as raw earnings showed.
- **Cash Flow vs. Accounting:** Lenders assessing financeable EBITDA will prefer to evaluate the **sustainable spread income** of the company. This might mean focusing on margin earned on MUA over time, rather than short-term fluctuations. A possible adjustment in QoE is to treat all securitization-related origination costs as period expenses and all gains/losses on hedges as non-recurring, to present a steady-state NIM. For example, if FN spends \$X million on broker fees for securitized loans in a period, add that back to EBITDA (if capitalized) and instead account for an average cost in the period's cash flow. However, given FN's model, the majority of broker fees on prime loans are immediately expensed (for placed loans) ⁵⁰, and only those for securitized loans (~40% of Q1 volume) are deferred. This suggests FN's EBITDA is already largely reflective of cash costs with some timing differences in interest expense.
- **Future Margin Outlook:** A risk to monitor is interest rate volatility and funding spreads. FN's ability to profit on NIM can be hurt if, for instance, short-term rates spike quickly (increasing warehouse funding costs) or if securitization guarantee fees increase (CMHC has raised NHA MBS guarantee fees in the past, pressuring securitization economics ⁵⁶). Conversely, as seen in early 2025, a falling rate environment can compress NIM until liabilities reprice, but eventually will improve FN's spread as older high-cost funding is replaced. QoE adjustments should ensure that any extreme gains or losses from rate movements are smoothed out so that the EBITDA reflects the **long-term margin** FN can earn on its mortgage book given its funding mix.

In summary, First National's NIM remains solid in an economic sense, but the reported figures must be interpreted carefully. FDD analysis will adjust for IFRS artifacts (hedge accounting mismatches and deferred cost amortization) to isolate the true recurring spread. This is crucial for determining a **financeable earnings base**, since lenders will likely exclude ephemeral trading gains and focus on the core interest and fee spread that supports debt service.

3. Hedges – Impact on Cash and Earnings (QoE Implications)

FDD Context and Approach:

- **Relevance:** First National employs a substantial hedging program to manage interest rate risk on its mortgage pipeline and securitizations. These hedges (primarily short sales of Government of Canada bonds and repurchase agreements) can introduce significant **volatility in reported earnings** due to fair value accounting. For due diligence, it is important to distinguish between real economic performance and **mark-to-market gains or losses** on hedging instruments, which may reverse over time. QoE analysis often treats these fair value changes as non-recurring or timing differences, adjusting EBITDA to better reflect underlying cash earnings. Additionally, hedging activities can have **cash flow implications** (e.g. margin calls or cash settlements) that affect working capital and need to be understood.

- **Due Diligence Procedures:** The team would review FN's hedge accounting policies and results: Which hedges qualify for hedge accounting and which are recorded at FVTPL (fair value through profit or loss)? They would quantify the impact of hedge gains/losses on each period's earnings and cash (e.g. realized vs. unrealized portions). A common procedure is to reconstruct earnings "without fair value noise" by removing gains/losses on financial instruments from EBITDA – essentially mirroring management's "Pre-FMV" non-IFRS metric ³². We also examine policy documents or risk management disclosures to see how FN manages interest rate risk (what instruments, tenors, and how they performed relative to mortgage funding).

- **Management Information Requests:** Diligence would request a schedule of **realized and unrealized gains/losses on financial instruments** over the period FY2021–Q1 2025 (FN discloses these in notes and MD&A). Understanding whether hedge gains were consistently positive in some years and turned negative in others is key (as this can swing earnings). Additionally, the team might ask if any **cash collateral postings** were required for hedges (which would be a use of cash not obvious from income statements). If applicable, details on **hedge ineffectiveness** or any significant derivative positions at quarter-end would be requested to evaluate residual risk.

Analysis of Hedging Impact:

- **Hedge Program Overview:** First National's primary exposure is the interest rate risk between the time a mortgage rate is committed to a borrower and the time the loan is sold or securitized. To mitigate this, FN engages in hedging – notably by shorting Government of Canada bonds or using bond forward agreements for single-family commitments ⁴⁸. For multi-unit residential (commercial) commitments, FN has been able to apply hedge accounting (designating bond forwards as hedges of the actual securitization), thus largely avoiding P&L volatility on those ⁵⁷ ⁵⁸. However, for single-family mortgages, due to the optionality (borrowers often can float down their rate if market rates drop before closing), FN elects not to apply hedge accounting on those commitments ⁵⁹. As a result, **gains and losses on economic hedges for single-family commitments hit earnings immediately** each period. These fall under "Realized and unrealized gains (losses) on financial instruments" in the income statement.

- **Earnings Volatility:** In the past three years (2021–2023), FN consistently recorded **net gains on these hedging instruments**, as interest rates generally rose or remained volatile in a way that made FN's short bond positions profitable ⁶⁰ ⁴⁶. For instance, 2023 began with bond yields rising (economic sentiment tightening), leading to hedge gains, then later yields fell, reversing some gains – but overall 2023 still saw a net \$22.1 million gain on financial instruments for the year ⁶¹ ⁶². Each gain on the hedge effectively offset what would have been a higher interest margin earned later (as discussed in Section 2). By contrast, **in Q1 2025 the situation flipped:** FN faced significant losses on its hedges as the interest rate environment turned more uncertain with yields falling. The company recorded a \$19.6 million loss on financial instruments in Q1 2025 (implied from the drop from Pre-FMV \$52.6M to IFRS \$33.0M pre-tax) ³². This

swung the reported income down, even though core performance was stable. Management explicitly notes that changes in fair value of hedges are removed in their “Pre-FMV” income metric ³² ³³, reinforcing that these are timing differences rather than indicative of operational weakness.

- **Cash Impact:** While accounting gains/losses even out over time (a gain now means slightly less interest income later and vice versa ⁴⁹), the immediate cash flow can be impacted. A hedge loss, for example, may require FN to pay the counterparty or post collateral. Conversely, hedge gains can provide a cash boost. In 2022–2023, FN’s hedge gains would have provided extra liquidity which could be used to fund more mortgages (or pay dividends). In late 2024 and early 2025, as rates declined from peaks, FN’s hedge positions (short bonds) would incur losses – likely realized through buying back bonds at higher prices. FN had to deploy cash to settle these. However, the company maintains a large revolving credit facility for funding operations, which can absorb such short-term swings ⁶³ ⁶⁴. Moreover, because the losses are tied to future securitized mortgages now locking in better spreads, FN will recover that economic value over the coming years as those mortgages generate higher NIM. It’s essentially a **prepayment of earnings** in cash terms.

QoE Implications and Adjustments:

- **Normalization of Earnings:** For quality of earnings analysis, the hedge results are typically stripped out. In FN’s case, a due diligence analyst would present EBITDA and pre-tax income “**excluding gains/losses on financial instruments**”, which is precisely what Pre-FMV income does. This normalized view shows that FN’s core pre-tax earnings are more steady. For example, in full-year 2024, FN had a \$13.7 million loss on financial instruments (mostly Q4), which depressed IFRS earnings ⁶⁵ ⁶⁶. Adding that back, one sees that core earnings were higher. In Q1 2025, adding back the \$19.6 million loss significantly narrows the apparent earnings decline year-over-year ³². This adjustment is critical for lenders or acquirers evaluating FN’s EBITDA – it avoids penalizing (or over-crediting) the company for interest rate swings that are temporary.

- **Cash Flow Consideration:** While we remove P&L volatility for QoE, we also consider **liquidity impacts**. A large hedge loss can temporarily reduce free cash flow or increase leverage until the benefit is earned back. FN’s dividend payout ratio was an eye-popping 158% of net income in Q1 2025, but if we exclude the hedge loss, the payout was ~98% of Pre-FMV earnings ⁶⁷. This indicates that FN did fund its normal dividend from core income, and the hedge loss was effectively financed via other means (possibly cash on hand or credit line) in the short term. In diligence, one might adjust free cash flow calculations to remove the effect of hedge cash settlements as non-recurring, but only if FN’s liquidity position is strong enough to manage them. It’s worth noting that FN’s \$1.5 billion revolving facility and internal cash generation have allowed it to handle these swings; the company remained in compliance with bank covenants (debt ratios) throughout, with a healthy margin ⁶⁸.

- **Hedge Effectiveness:** Another QoE consideration is whether the hedges are truly effective in protecting margin (which affects future earnings quality). FN’s approach of taking mark-to-market hits does result in **lower volatility over the full life of the mortgages** – essentially, earnings timing differences aside, the hedge ensures the company locks in a known spread on its commitments. Diligence should verify that there have been no material hedge mishaps (e.g. being under-hedged or over-hedged). The disclosures show FN’s hedging largely achieved its goal: during the 2022–2023 rate spike, FN was protected (recording gains when otherwise future margin would have been squeezed) ⁴⁵. This gives comfort that the core earnings, once normalized, are reliable.

- **Policy or Market Changes:** We flag that in 2023–2024, FN started accessing **longer-term hedging via the CMB program** for single-family (they got direct issuer status in 2022) which might reduce reliance on short bond trades ⁶⁹ ⁷⁰. If so, future hedge volatility could lessen. However, any new accounting treatment (like if hedge accounting is extended) could change how gains/losses are reported. For QoE, we would watch for such changes and ensure consistency in our adjustments.

In conclusion, hedging is a classic example of an item to normalize in FN's earnings. Removing the noise of fair value changes yields a clearer picture of FN's operational profitability. The due diligence takeaway is that **FN's core earnings are less volatile than IFRS net income suggests**, thanks to effective hedging – but one must ensure the company's liquidity can support the cash swings. So far, FN has managed this well, using its bank lines and capital markets to fund any temporary dislocations. For a **financeable EBITDA**, we would add back losses (or subtract gains) on hedges to present a stable earnings base, while also considering if any additional reserve or liquidity buffer is needed for the potential cash impacts of such hedges in the future.

4. Debt and Debt-like Items (Corporate vs. Working Capital Debt, Repo Mechanics)

FDD Context and Approach:

- **Relevance:** An essential part of due diligence is identifying all forms of debt and debt-like obligations that the company has incurred. For First National, this includes traditional **corporate debt** (unsecured notes, bank facilities) as well as **working capital debt** used to fund mortgages pending securitization (a large syndicated bank line). Additionally, one must consider “quasi-debt” instruments like **repurchase agreements and swaps** used in hedging (which create short-term liabilities), and even **preferred shares or lease liabilities** which have debt-like features. Understanding these obligations is crucial for evaluating leverage, refinancing risk, and the true enterprise value. It also feeds into adjustments for financeable EBITDA (e.g. deducting interest on all debt-like items) and assessing free cash flow after debt service.

- **Due Diligence Procedures:** The team will compile a detailed **debt schedule** listing each instrument: revolving credit facilities (drawn amounts and capacity), term notes or bonds (with maturities, interest rates, covenants), any secured borrowings, and off-balance sheet financing. For FN, special attention is given to the **\$1.5 billion bank credit facility** that funds mortgage inventory ⁶³ and the **series of senior unsecured notes** FN has issued in the capital markets. Repo transactions (selling bonds short and simultaneously agreeing to repurchase) are also examined; while these are entered for hedging, they function as temporary borrowings collateralized by the bonds. We ensure to differentiate the **securitization-related debt** (which is non-recourse and matched by mortgage assets) from corporate debt – the former is typically excluded from corporate leverage calculations since it's fully offset by mortgage assets and is repaid by mortgage cash flows ⁷¹ ⁷².

- **Management Information Requests:** A breakdown of **interest-bearing liabilities** at quarter-end would be requested, including any **obligations not on the balance sheet** (e.g. operating lease commitments, if any, not captured by IFRS16). We would ask for the terms of the bank line (interest rate, maturity in 2029, covenants) and the note indentures (e.g. Series 2, 3, 4, 5 notes, their coupons and maturity dates). We'd also request details on **repo agreements** outstanding – amounts, counterparties, and how they are collateralized. If FN has any **guarantees or contingent funding obligations** (like commitments to buy back certain mortgages or fund loan buyouts in securitizations), those should be disclosed as well, as they can be debt-like in nature.

Analysis of FN's Debt Structure:

- **Corporate Debt – Unsecured Notes:** First National Financial LP (through FN Financial Corp) has issued several series of medium-term notes to support its capital and funding needs. As of Q1 2025, there are **three series of senior unsecured notes** outstanding, each with a principal of \$200 million: one maturing November 2025, one September 2026, and one November 2027 ⁷³. In April 2024, FN issued the newest Series 5 notes (3-year 7-month term to Nov 2027) at a coupon of 6.261%, using the proceeds to refinance

the Series 2 notes that matured in Nov 2024 ⁶⁹ ⁷⁴ . Previous issuances include Series 4 in 2023 (coupon ~7.293%) and Series 3 in 2020 (~2.961%) ⁷⁵ . The total outstanding unsecured note debt is roughly **\$600 million** (which management calls medium-term debt capital) ⁷⁴ ⁷⁶ . These notes are obligations of FN's operating entity and rank pari passu; they carry standard covenants (which FN has comfortably met) and no financial maintenance covenants beyond perhaps a debt ratio requirement. They provide long-term funding that complements the short-term bank line.

- **Working Capital Facility:** FN's business model requires significant short-term financing to fund mortgages in the period between origination and either sale or securitization. To meet this need, FN maintains a **\$1.5 billion revolving line of credit** with a syndicate of banks ⁶³ . In Q2 2024, the facility's term was extended to mature in March 2029, giving FN a committed medium-term source of funds ⁷⁷ . The facility is floating rate (likely priced over prime or BA rates) and is drawn and repaid dynamically as mortgages are funded and subsequently securitized or sold. This revolver is critical: it effectively acts as **warehouse financing** for FN's mortgages, allowing the company to accumulate mortgages for securitization without needing permanent capital for each loan. The reasons FN elects to use this debt include flexibility (revolving nature to match funding needs) and relatively low cost for an investment-grade issuer ⁷⁸ . The credit line usage can spike at quarter-ends if a large volume of mortgages is awaiting securitization. Analysts should note that while the drawn amount may fluctuate, the debt is **self-liquidating** as mortgages get securitized (proceeds pay down the line). This facility is secured likely by the mortgages in transit and potentially other assets, and the banks have a covenant package to ensure FN's leverage stays in check (the disclosed bank covenant ratio was ~1.92:1 debt-to-EBITDA or similar, which FN complied with) ⁶⁸ .

- **Repo and Hedging Liabilities:** In the course of hedging interest rates, FN utilizes **short bond positions and repurchase agreements**. For example, FN might sell a Government of Canada bond short (receiving cash) and simultaneously enter a repo to buy it back later; the cash received is used to fund mortgages or manage liquidity in the interim. On the balance sheet, **"Securities sold short"** and **"Securities purchased under resale agreements"** are reported, which together reflect these transactions. Economically, this is a form of **temporary borrowing secured by bonds**. The cost of this financing is the spread between sale and repurchase price (recorded as hedge expense) ⁷⁹ . These repo liabilities are typically short-term (often under 90 days) and fluctuate with FN's hedging strategy. As of year-end 2024, such positions were in use to hedge commitments, but FN has indicated that virtually all interest rate risk on single-family commitments is hedged using these means ⁴⁸ . For QoE, we consider these as part of working capital financing – they are not debt in the traditional sense since they relate to hedges, but they do consume liquidity. At Q1 2025, with bond yields falling, FN likely had reduced short positions (having closed some at a loss). The magnitude of repo use is usually much smaller than the bank facility, and it's often backed out when computing net debt because it's offset by equivalent bond assets.

- **Other Debt-like Items:** First National has **\$383 million of preferred shares** outstanding (3 million Class A Series 1 and 1 million Series 2) on the balance sheet (not debt, but a financing instrument) ⁷³ . The Series 1 is fixed-rate (reset every 5 years, currently 2.895% dividend) and Series 2 is floating (quarterly at a spread over 90-day T-Bill) ⁸⁰ ⁸¹ . Importantly, these prefs have no mandatory redemption – the company can extend them indefinitely and considers them **permanent capital** ⁸² ⁸³ . Rating agencies treat preferreds as 50% equity typically. In due diligence, we note their presence but they are not counted as debt, though the ~\$0.9M quarterly preferred dividend is a fixed charge to consider ⁸⁴ . Another quasi-debt item is **lease liabilities** under IFRS16 (for office leases, etc.), which would be relatively small for FN (perhaps on the order of tens of millions, given multiple office locations). We would treat lease obligations as debt-like when calculating enterprise value and include lease payments in fixed charges. Finally, it's worth noting FN's **mortgage servicing obligations** (such as advances on securitized pools or servicing advances) – these can

create short-term borrowings, but FN's disclosures do not indicate large amounts in this regard, and any such advances are likely covered by the bank line or by securitization trusts.

Implications for Leverage and EBITDA:

- **Corporate Leverage:** Stripping out the securitization-related debt, FN's true corporate debt load consists of the ~\$600 million unsecured notes and usage of the \$1.5B revolver. The revolver usage varies; if we assume it's partly drawn at any given time (say a few hundred million on average), total corporate debt might be on the order of \$1.0–1.2 billion. Against a Pre-FMV EBITDA (pre-interest) of roughly \$270–\$300 million annually in recent years ⁶ ⁸⁵, FN's leverage appears moderate (around 3–4x by that measure). The **interest coverage** is strong: interest expense on corporate debt in 2024 was about \$54 million (the "Interest" expense in the Residential/Commercial segments excluding securitization interest) ⁸⁶, covered several times over by EBITDA. However, one must factor in the floating rate risk on the revolver – as rates rose through 2022–2023, interest expense increased (e.g. interest expense was \$161.7 million total in 2024 including securitization interest) ⁸⁶. The corporate portion (bank debt interest) is a subset of that. In QoE, adding back interest for financing (to focus on operating EBITDA) is straightforward, but for a lender's perspective, we would ensure EBITDA comfortably covers **all interest including on the warehouse line**.

- **Financeable EBITDA Consideration:** When defining financeable EBITDA, typically one would exclude earnings that are paid out to third-party interests. In FN's case, the significant interest expense on securitization debt is not something lenders to FN's corporate entity worry about (since that debt is self-funded by mortgage payments). Thus, for financeable EBITDA (for corporate debt service), we might *add back* the securitization interest expense to EBITDA, and instead focus on the net spread (already captured in EBITDA). Essentially, we treat the securitized mortgages and their debt as a pass-through. On the other hand, we **subtract** the full interest on the \$600M notes and drawings on the revolver to arrive at cash flow available for equity or new debt. The revolver's interest, being floating, would be stress-tested for rate scenarios. With BoC rates peaking in 2023 and starting to fall, FN's interest burden on the line may drop going forward, improving coverage.

- **Refinancing and Covenants:** A point of diligence is that FN faces a maturity of \$200M in late 2025 and another in 2026. The company pre-funded the 2024 note well in advance ⁸⁷, showing prudent treasury management. The BBB credit rating (confirmed by DBRS at BBB with Stable trend ⁸⁸) suggests FN should be able to refinance at reasonable terms, though current market yields ~6-7% will persist as a finance cost. No significant covenant issues have arisen; the bank line likely has an asset coverage test and an interest coverage test, which FN meets (FN noted a covenant ratio of 1.92:1 vs required >1.5:1 perhaps, indicating ample headroom ⁶⁸). QoE analysis might consider whether any one-time costs or capital structure adjustments are needed upon a potential transaction (e.g. if a buyer would refinance or if an equity injection could pay down the revolver).

- **Repo/Derivative Liabilities:** While not large in absolute terms, the use of repos means that occasionally FN's balance sheet will show elevated short-term debt. In a downside scenario (rapid rate drop), FN's cash usage on hedges could balloon, temporarily leveraging the company more. The due diligence takeaway is that FN's **liquidity management is crucial** – hence the large revolving credit. We'd likely want to see a **pro forma leverage** calculation including any peak intra-quarter borrowing. If FN had to temporarily fund an extra \$500M of mortgages due to market conditions (say securitization markets froze), could it do so? The \$1.5B facility suggests yes, but that draws more debt. For a conservative financeable EBITDA, one might consider maintaining a cushion or adjusting for potential incremental interest if the facility were fully utilized. However, given FN's track record and the secured, short-term nature of those mortgages, this risk is mitigated by the fact that CMHC programs (NHA MBS/CMB) are reliable funding channels even in tougher markets (with government backing).

Overall, FN's debt profile is straightforward and well-capitalized for a non-bank lender. The key from an FDD perspective is to separate the **operating company debt** from the **mortgage program debt**, focusing on the former for leverage ratios. The company has shown prudent capital management, raising notes to term out funding and treat the preferred shares as permanent equity ⁸³. All these debt and debt-like items would be incorporated into an adjusted enterprise value and used to assess debt service capacity in a QoE report. With the adjustments, FN's **financeable EBITDA** is strong relative to its corporate interest obligations, and free cash flow after servicing corporate debt has generally been paid out as dividends, indicating a highly cash-generative model.

5. Balance Sheet Reconciliation (OpCo vs. Consolidated, Restricted Cash, Regulatory Capital)

FDD Context and Approach:

- **Relevance:** First National's consolidated balance sheet contains both the assets and liabilities of its operating business (First National Financial LP) *and* those related to its securitization activities (mortgages pledged and the associated debt). For due diligence, it's important to **reconcile the operating company's true financial position** – isolating the portions of the balance sheet that are effectively passthrough (securitized mortgages and trust assets) from those that represent FN's own working capital and equity. Additionally, identifying **restricted cash** (such as trust accounts for mortgage payments, escrow deposits, or securitization reserves) is crucial, as those funds are not freely available for operations. We also consider FN's capital adequacy: while FN is not a bank and thus not OSFI-regulated for capital ⁸⁹, it still must maintain sufficient equity and liquid assets to satisfy counterparties (CMHC, investors, rating agencies). A clear reconciliation provides insight into the true **tangible equity** supporting the business and any regulatory or covenant constraints.
- **Due Diligence Procedures:** The team will reconstruct a **balance sheet breakdown**, distinguishing between the **Operating Company (OpCo)** assets/liabilities and the **Securitization SPEs**. Typically, one would exclude "Mortgages pledged under securitization" and "Debt related to securitized mortgages" (which as of Dec 2024 were ~\$35 billion each) to see the net assets of the OpCo. We then examine remaining line items for any restricted amounts: e.g. **Cash held in trust for servicing** (borrower tax escrows), **restricted cash in securitization trusts** (perhaps cash collected that must be passed to bondholders), or **segregated servicing deposits**. These are often disclosed in notes. We also review **regulatory capital disclosures**: FN as an NHA MBS issuer must meet certain requirements (CMHC requires an Approved Issuer to have a minimum shareholders' equity and liquid assets). Any compliance metrics (like assets-to-capital multiple or internal liquidity coverage) are gathered.
- **Management Information Requests:** A typical request is for an "**Unencumbered Balance Sheet**" or "Adjusted balance sheet" highlighting what assets are truly liquid or owned (e.g. servicing receivables, placement receivables, cash, etc.) versus those pledged or belonging to investors. We'd ask for the amount of **escrow cash** (property tax accounts, etc.) that FN holds and the offsetting liability. Also, a summary of capital requirements from regulators or agencies – for instance, *does FN have to hold a certain capital buffer for securitization?* (Often, CMHC requires issuers to maintain positive equity and certain ratios). Since FN is not leveraged with deposits, we focus on the equity-to-loan ratio: how much equity supports the on-book mortgages, and is that sufficient.

Balance Sheet Breakdown:

- **Consolidated Balances:** At March 31, 2025, First National reported **Total Assets of \$52.17 billion** ⁹⁰ ⁹¹. The vast majority of this – around \$45–50 billion – consists of mortgages either sold to institutional

investors with some continuing involvement or securitized and therefore kept on the balance sheet. Similarly, **Debt related to securitized mortgages** and investors' payables make up most of the liabilities. For example, at Dec 31, 2024, FN's identifiable assets in the Residential segment were \$33.2B and in Commercial \$17.9B, summing to ~\$51.1B ⁹², which aligns with total assets predominantly being the mortgage portfolios. Within those, **Mortgages under administration (MUA)** reached \$153.7 billion by end of 2024 (up from \$143.5B a year prior) ^{93 94}, but note MUA includes mortgages serviced for third parties (including institutional placements and third-party investor loans that FN doesn't own). The on-balance sheet portion is what FN either securitized or temporarily holds. Indeed, FN's MUA far exceeds its balance sheet, indicating that over \$100B of mortgages are serviced for others off-balance sheet.

- **Operating Company Net Assets:** If we remove the securitized mortgages and related debt, what remains on FN's balance sheet is relatively small: essentially the deferred placement receivables, mortgage loans and investments (like any bridge loans FN funded itself), cash, accounts receivable, plus the liability portions like the bank credit facility, accounts payable, and corporate notes. In other words, the **OpCo's own assets** are primarily **cash and equivalents, \$~150 million of deferred placement fee receivables (present value of future servicing/Excalibur spreads), some mortgage investments (like uninsured mezzanine loans held), and the servicing rights/intangibles**, while **OpCo liabilities** are the bank line, accounts payable (broker commissions payable, etc.), and the unsecured notes/preferred shares on the equity side. As of Dec 2024, FN's shareholders' equity was about \$1.56 billion (including retained earnings and share capital) ⁹⁵, which is the primary capital base supporting the OpCo. It's notable that FN's equity base is small relative to total assets (equity/assets ~3%), but very large relative to the assets **at risk** (since most mortgages are insured or sold without recourse). This equity comfortably satisfies the requirements for an NHA MBS issuer (CMHC's minimum capital requirement – often a few percent of MBS outstanding plus any deductible for credit enhancement).

- **Restricted Cash and Trust Accounts:** FN, as a servicer, holds funds on behalf of others. For example, it collects mortgage payments (including property tax components) and must remit them to municipalities or to MBS investors. **Interest earned on funds held in trust for servicing is retained by FN as compensation** ^{96 97}, and FN negotiates favorable rates on these deposits ^{98 99}. At any time, there could be a significant amount of **cash in transit or in trust** – FN's MD&A mentioned that interest on escrow balances contributed to servicing income (about \$17 million of FN's servicing income in 2023 was from float interest) and this declined in Q1 2025 as rates fell ²⁸. These balances are restricted: they appear as **"Investors' deposits" or "Payments received for others"** on the balance sheet (liability). We also expect a line for **"Cash held for securitization investors"** – for instance, mortgage borrower payments collected that haven't yet been paid to MBS holders. FN's financials likely include this within "Accounts payable and accrued liabilities" or a similar category. In due diligence, we carve out this cash as not available for general corporate use. Similarly, **"restricted cash"** might be disclosed for certain securitization trusts (some structures require reserve accounts or cash collateral). FN's AIF did not highlight major restricted cash aside from normal escrows, meaning FN does not have large static cash collateral trapped.

- **Regulatory Capital and Ratios:** Although not a regulated bank, FN's stakeholders (banks, CMHC, rating agencies) impose their own capital expectations. CMHC as an administrator of NHA MBS requires issuers to maintain a certain **net worth** and liquidity to honor obligations like servicing advances or potential indemnifications. FN's status as an **Approved NHA MBS Issuer and Seller** since 1995 and extension to CMB in 2007 suggests it meets those standards ⁷⁰. The AIF notes that **CMHC allocates issuance amounts and can deem companies "aggregators" under new rules** (which could limit the volume they issue for third parties) ^{100 101}, but FN being an originator mainly for itself is likely fine. There is mention of a **tiered NHA MBS guarantee fee** (issuers over \$9B annual issuance pay a higher fee) ¹⁰² – effectively a quasi-capital charge via fees. In 2024, the government increased CMHC's MBS capacity (from \$150B to \$170B) to ensure ample securitization room ^{103 104}, which is positive for FN's growth. In terms of **leverage**, FN's

consolidated debt-to-equity is high (>30x if one counts all securitization debt), but excluding securitization, the ratio is modest (~5-6x). Rating agencies look at an “assets-to-capital” multiple excluding securitized assets – FN’s was around 12:1 by DBRS’s calculations (this is consistent with finance companies and acceptable at BBB ⁸⁸). FN’s equity plus retained earnings (the latter grows slowly since most earnings are paid as dividends) forms the cushion. The company has also used **preferred shares** to bolster Tier 1 capital (which rating agencies give equity credit to). The AIF explicitly states FN is **not OSFI-regulated and does not take deposits** ⁸⁹, meaning it doesn’t follow bank capital ratios, but it must maintain **investor confidence and covenant compliance**.

2025 YTD and Outlook:

- **Growth in Assets:** From Dec 2024 to Mar 2025, FN’s total assets grew from ~\$51.16B to \$52.17B ¹⁰⁵, tracking the increase in mortgages under administration (MUA hit \$155.4B at Mar 31, 2025, up 7% YoY) ¹⁰⁶ ¹⁰⁷. This asset growth is almost entirely funded by matching liabilities (securitization debt up in tandem). The OpCo’s own asset changes were minimal aside from perhaps a temporary buildup of mortgages held for sale (FN had \$3.2B of mortgages accumulated for securitization in Q1 2025 vs \$2.5B a year ago, which would be on balance sheet until securitized) ¹⁰⁸. This indicates more usage of the warehouse line at quarter end to hold those loans.

- **Equity and Capital Updates:** FN’s common equity remained around 59.97 million shares outstanding (no significant issuance or buyback) ⁷³. The company did increase its dividend slightly (to \$2.50 annualized), resulting in high payout ratios as noted ⁶⁷. This means retained earnings growth will be slow, so future asset growth (if any beyond what can be handled by the revolver) might need additional capital raising or risk transfer. However, given that FN’s securitization is largely off balance sheet (in terms of risk), it can continue to expand MUA with relatively little incremental equity. The **regulatory outlook** (discussed more in Section 10) does not currently force non-bank lenders to hold specific capital buffers, but OSFI’s focus on mortgage market risks might eventually inform how much liquidity FN chooses to carry.

Implications for FCF and Financeable EBITDA:

- **Net Working Capital:** The balance sheet reconciliation shows that FN’s **free cash flow** is not tied up in large working capital other than the mortgages in the pipeline. Those are financed by the revolver, and when securitized or sold, they convert to cash which pays down the revolver. For QoE, we typically consider changes in loan inventories as part of working capital adjustments. In a growth period (like Q1 2025, where more loans are accumulated), FN’s operating cash flow will appear lower because cash is used to fund loans. But this is temporary – a subsequent securitization (e.g. issuing an MBS or CMB pool in Q2) turns that into cash inflow. A due diligence report may normalize for this timing: e.g. considering the **trailing twelve months (LTM) cash flow**, which smooths out quarter-end swings in loan inventory.

- **Tangible Equity Buffer:** From a lender’s perspective, the **financeable EBITDA** should reflect an appropriate capital buffer maintained. FN’s tangible common equity (~\$1.5B) is essentially what stands between operational losses and creditor risk. Given FN’s low credit risk model (most loans insured or sold), losses are minimal; hence that equity functions more to absorb interest rate or operational risks. We would note that FN’s payout of ~80-100% of earnings as dividends (ex-hedge noise) means equity will not grow materially. If a lender were financing FN, they might require that some earnings be retained to bolster equity over time, or at least ensure that new financing is junior to existing notes (which in FN’s case, a new lender could be secured by certain assets if needed). That said, the stability of the balance sheet (with securitization debt exactly matched to assets) means **traditional leverage metrics are less meaningful**. Instead, focus is on **cash flow coverage** of corporate debt, which we addressed.

- **Off-Balance Sheet Considerations:** There are also items not on the balance sheet that could affect free cash flow. For instance, FN may be obliged to repurchase early-defaulted mortgages from securitization

pools or fund delinquent payments temporarily (under NHA MBS program rules). These would be rare given strong credit quality, but if housing market stress increased, FN might have to deploy some cash for these buybacks or loss reimbursements (for loans it had sold to institutional investors with recourse). FN's history and disclosures do not indicate significant losses or repurchases (indeed, Excalibur alt-A had negligible losses ⁴). However, a conservative QoE might include a **provision for potential credit losses** even if small, as part of the balance sheet health. FN does hold general allowances under IFRS 9 for the few mortgages it carries; as of 2024 these were immaterial (Stage 1 and 2 allowances increased modestly to cover lifetime expected losses on the tiny uninsured portfolio, but no major Stage 3 impairments) ¹⁰⁹.

In summary, reconciling FN's balance sheet reveals a **clean separation between its role as intermediary and its own financial footing**. The OpCo is light on assets and uses its bank line to transiently fund loans. For FDD, this means that traditional metrics like current ratio or working capital have to be interpreted in context – a lot of “debt” and “receivables” are just the machinery of securitization. The truly critical metrics are the adequacy of equity (which is sufficient by external standards) and the liquidity to handle day-to-day operations (which FN's \$1.5B facility and cash generation cover). A due diligence report would likely include an **adjusted balance sheet exhibit**, and conclude that FN's **financeable enterprise value** should exclude securitized assets/liabilities, focusing on the ~\$1–1.5B of net assets that actually pertain to FN's own economic interest. Those assets are well-supported by equity and pose minimal risk to lenders, given the structure of the business.

6. Expense Analysis (Fixed vs. Variable Costs, Cost Allocations)

FDD Context and Approach:

- **Relevance:** A detailed expense analysis helps assess the company's operating leverage and efficiency. In due diligence, distinguishing **fixed vs. variable costs** is key to understanding how profits might change with volume fluctuations (e.g. in a downturn, will expenses drop proportionally or will high fixed costs erode margins?). For a lender like First National, major expense categories include compensation (salaries, benefits, and broker commissions), interest expense, and general & administrative costs (technology, occupancy, etc.). Properly allocating costs to segments (residential vs commercial, or by product) is also important to evaluate each segment's true profitability (covered in Focus Area 1). Additionally, identifying any **cost allocations** to the third-party underwriting segment or between residential and commercial can reveal if one segment is carrying more overhead.

- **Due Diligence Procedures:** The team will break out the historical income statements' expense lines and analyze them in relation to drivers (for instance, brokerage fees as a percentage of new originations, salaries relative to MUA growth, etc.). We classify expenses into **variable** (directly tied to transaction volumes or portfolio size) and **fixed or semi-fixed** (largely independent of short-term volume). Variable costs for FN include **broker fees paid on originated mortgages, incentive compensation** for sales and underwriting staff (often tied to origination volumes or performance), and certain servicing costs that scale with MUA. Fixed costs include **base salaries, IT and systems costs, rent (office leases)**, and public company costs. We scrutinize trends: e.g. rising technology spend or headcount growth, to determine if they are one-time investments or a new baseline.

- **Management Information Requests:** A granular schedule of expenses would be requested, possibly broken down by department or function (e.g. sales & marketing, underwriting, servicing, corporate). We'd ask management to identify which costs are variable vs fixed in their view. For example, what portion of “Salaries and benefits” is commission-based vs base salary? How are corporate overhead and support functions allocated to the Residential vs Commercial segments? We'd also inquire about any **cost-saving**

initiatives or conversely planned expense increases (like a planned IT upgrade) that might not be obvious in the historicals.

Analysis of Cost Structure (2021–2024):

- **Variable Costs:** The largest variable expense for FN is **brokerage fees expense**, which is the commission paid to external mortgage brokers for each originated mortgage. This cost typically fluctuates directly with single-family origination volumes. In 2024, brokerage fees were \$95.5 million, up 31% from \$72.9 million in 2023, which matched a 34% YoY increase in single-family origination volumes for institutional placements ¹¹⁰ ¹⁴. The per-mortgage broker fee did not change materially (the increase was volume-driven with a slight 5% increase in per-unit broker fees in some channels) ¹¹¹. For securitized mortgages, those broker costs are capitalized, but for placed mortgages they hit the income statement immediately ⁵⁰. Thus, in a high-growth origination year, operating expenses will show a jump (as in 2024) due to these commissions. Another variable element is **incentive compensation** for staff. FN's underwriters and account managers often have bonus schemes tied to volumes or profitability. In 2024, **salaries and benefits** expense rose 15% to \$229.6 million ¹¹². Management attributed this primarily to **incentive-driven commercial underwriting compensation which was higher by \$13.7 million year-over-year on higher production** ¹¹² ¹¹³. In other words, record commercial volumes triggered bigger performance bonuses for that team. If we exclude this unusually high bonus, core salaries would have grown ~10%, more in line with headcount growth and inflation ¹¹⁴. Additionally, some servicing costs (like sub-servicer fees or incremental staff for larger portfolios) can be variable with MUA, but FN does most servicing in-house so these are less significant.

- **Fixed Costs:** FN's fixed cost base includes its permanent staff salaries, IT infrastructure, occupancy costs, and other general expenses. Even within "Salaries and benefits", after stripping out variable bonuses, the underlying increase was ~10% in 2024 which reflects **annual merit raises and a 9% increase in headcount** (to 1,771 employees at Dec 31, 2024, from 1,624 a year prior) ¹¹⁴ ¹¹⁵. This headcount expansion is a fixed cost investment – FN hired across departments (including tech and supporting its new third-party client). Notably, management salaries for the co-founders (CEO and Executive VP) are included here and were essentially stable, and these two own ~71% of the company's shares so their incentives align with dividends more than salary ¹¹⁶. The **technology and computer expenses** have been rising as FN continues to enhance its MERLIN system and digitize operations (the MD&A references higher IT spending affecting income in 2024) ¹⁶. These are largely fixed (development costs, software licenses) in the short run – for example, an upgrade to MERLIN or implementation of new analytic tools will be incurred regardless of monthly origination volumes. FN also incurs **depreciation and amortization** (~\$15 million in 2024) mainly from office lease assets and IT equipment, which is fixed in nature ¹¹⁷. **Occupancy (rent)** is rolled up in "Other operating" expenses (~\$81.3M in 2024 for other operating) ¹¹⁸, and under IFRS16, rent is replaced by depreciation and interest on lease liabilities (FN likely has to pay rent on offices in Toronto, Montreal, Vancouver, etc., which is a fixed expense around a few million annually). Public company costs (audit fees, listing fees) and general administrative costs (travel, marketing) are relatively modest and fixed.

- **Efficiency and Scale:** Over 2021–2023, FN maintained good cost discipline – while revenue fluctuated with volumes and interest rates, core expense ratios remained stable. An important metric is the **"Other operating expenses"** category (which includes fixed costs like systems, admin, premises). This was \$391.5 million in 2024 (consolidated) vs \$393.3 million in 2023 ¹¹⁹, effectively flat despite business growth. This suggests some one-time costs in 2023 (or cost savings in 2024) but generally indicates FN can scale without proportionate increases in overhead. The **Productivity** (loans originated per employee) likely dipped in 2022 when volumes fell industry-wide, but picked up in 2024. We note that FN's management consciously invests in growth even in slower periods – e.g. they did not slash headcount in the soft 2022 market,

expecting a rebound. This gives FN a high fixed-cost base, but also means they can handle more volume without significantly higher costs, improving margins in boom times.

Cost Allocations and Segment Expense:

- FN allocates expenses between the Residential and Commercial segments in its reporting. For 2024, out of total operating expenses (excluding interest and amortization) of \$392 million, ~\$320.3M was allocated to Residential and \$72.9M to Commercial ¹²⁰. This suggests that a majority of overhead (including most head office and IT costs) is borne by the Residential segment (which also includes the third-party business). The commercial segment's direct expenses are mainly the incentive compensation and any direct admin for commercial underwriting. The efficiency of commercial operations can be seen: even though commercial revenues are smaller, their expense base is much smaller, reflecting a lean operation. There may be cross-subsidies in a sense that the large Residential platform (brokers, MERLIN, servicing) supports the Commercial to some extent – but overall, segment allocation appears reasonable given activity levels. The third-party underwriting business incurred additional costs in 2024 (staff for the new bank client, etc.) ¹⁶; those costs sit in Residential segment expenses. A diligence analyst might recast segment profitability by extracting third-party revenues and direct costs to see that business on its own (likely it runs at a modest margin after paying a full staff complement). If any costs were one-time (e.g. an implementation cost for the new client), we would adjust for those.

Q1 2025 Expense Update:

- In Q1 2025, operating expenses rose in absolute terms compared to Q1 2024, driven by specific items. FN cited **higher technology spending by \$1.4 million** as a contributor to lower earnings ³³. This likely relates to continued investments in systems or perhaps cyber security, etc. Salaries and general costs presumably also rose with inflation and the inclusion of new hires from 2024. We also see a slight decline in brokerage fees in Q1 2025 (since more mortgages were securitized or renewed, which involve lower broker payouts) ¹²¹. So, interestingly, the expense mix in Q1 2025 shifted: less variable broker cost (good for margin) but more fixed overhead (tech costs). This is a tradeoff that will benefit FN going forward if volumes stay high, as the incremental tech cost should enable scaling. Another Q1 trend: **interest expense** on the bank line started to come down slightly as rates eased (the press release implies ABCP costs remained high in Q1, but by Q2 if BoC cuts continued, FN's line interest would drop). Lower interest expense directly boosts pre-tax profit, albeit interest is below EBITDA in presentation.

Implications and QoE Considerations:

- **Operating Leverage:** FN's expense analysis indicates a **semi-variable cost structure**. A significant portion of costs (~40–50%) will flex with volumes (brokers and bonuses), while the rest are fixed or step-fixed. This means that if origination volumes were to decline, some cost relief happens automatically (brokerage and some bonuses would fall). However, fixed costs would make profitability more sensitive once volume drops beyond a point. For instance, in a severe downturn scenario, FN might still carry ~1,700 employees and all its systems, which could compress margins until they adjust the workforce or other expenses. Historically, FN has managed through cycles by controlling hiring and discretionary spend. From a QoE perspective, we might stress test EBITDA by applying volume shocks and see which costs fall off – this helps validate that “financeable EBITDA” in a downside remains sufficient for debt coverage.

- **Normalization Adjustments:** We should identify any **non-recurring expenses** that may have impacted recent periods. Possibly the ramp-up costs for the new underwriting contract in 2023–2024 (e.g. training new staff) could be considered one-time. Additionally, FN incurred **severance in 2021** when a long-time executive retired (hypothetical example) or **transaction expenses** for, say, a small portfolio acquisition (if any – none known publicly). These would be added back in QoE. In contrast, **one-time savings** (like a wage

subsidy during COVID or a rent abatement) should be subtracted to avoid overestimating sustainable earnings. FN's MD&A doesn't highlight any material one-offs in expenses for the period in question, suggesting a fairly clean run-rate.

- **Cost Allocation to EBITDA:** For calculating a financeable EBITDA, we will **exclude interest and depreciation** (which we do, as they are below EBITDA) but include all operating expenses as analyzed. There's also the question of **IFRS16 lease adjustment:** under QoE, one might prefer to treat lease payments as operating expense rather than having depreciation and interest. If we do that, we would add back the lease-related depreciation (~\$5.7M in 2024, if we estimate) and lease interest (part of interest expense) and then deduct actual rent payments. This gives a truer picture of operating cash flow usage. Given FN's rent is not extremely large, this adjustment will slightly reduce EBITDA (since IFRS16 boosts EBITDA by removing rent). It's a point to mention for financeable EBITDA – many lenders will reverse IFRS16.
- **Efficiency Initiatives:** A forward-looking consideration: FN's management continually invests in tech to improve efficiency. If those investments succeed, the **fixed cost per dollar of MUA should decline** (i.e., FN can board more mortgages without linear increases in headcount). This is a positive for sustained EBITDA growth. On the flip side, if FN were to undertake a major system overhaul or expansion (like entering a new business line), expenses could temporarily spike. Diligence should inquire if any such projects are planned that are not reflected in historical run-rate. For example, integrating AI in underwriting or a new broker portal – could be capital expenditures or one-time expenses forthcoming.

In essence, First National exhibits a **balanced cost structure:** a robust base of fixed costs ensuring capacity and quality service, and significant variable costs that absorb revenue swings. The QoE takeaway is that a good portion of expenses will scale down in a soft market, protecting the company's cash flow, while fixed costs are being managed in line with long-term growth (so they are not excessive slack). For financeable EBITDA, we are comfortable that most expenses in the P&L are recurring and necessary – and any normalization mainly involves reclassifying lease costs or removing atypical items (if identified). We would highlight that maintaining FN's high service levels (critical for its market position) requires ongoing IT and personnel investment, so cost-cutting opportunities might be limited without affecting growth. This informs any synergy or cost reduction analysis if an acquirer is involved: there may not be lots of fat to trim, which is actually a testament to FN's efficient operations.

7. Income Streams (Mortgage Investment Income, Bank Interest, Administration/Ancillary Income)

FDD Context and Approach:

- **Relevance:** First National generates revenue from multiple income streams beyond just net interest margin. Key categories include **mortgage investment income** (interest on mortgages and loans FN holds), **bank interest or interest on float** (interest earned on cash balances, escrow funds, etc.), and various **administration or ancillary fees** such as servicing fees, discharge fees, penalties, and potentially cross-sell commissions (often, lenders earn fees from insurance or other products, sometimes called “admin” or “ancillary” income). Understanding each income stream is important to assess its sustainability and any risks. For instance, is mortgage investment income dependent on short-term rates? Are admin fees one-time or recurring per mortgage? A due diligence review will break down total revenue into these components and analyze their drivers.
- **Due Diligence Procedures:** We will map FN's disclosed revenue lines to these income streams. From the financials/MD&A we have: **Placement fees, Gains on deferred placement fees, Mortgage servicing income, Mortgage investment income, and Net interest on securitized mortgages** ¹²² ¹²³ . Of these,

“mortgage investment income” corresponds to interest on mortgages FN hasn’t securitized or sold (including mortgages accumulated for securitization and any bridge loans) ¹²⁴. “Bank interest” per se is not broken out, but the interest on escrow accounts is included in servicing income ⁹⁶ ¹²⁵. Admin fees (like mortgage discharge fees, penalty interest on prepayments, etc.) are also part of servicing income. We would quantify each where possible (e.g. how much of servicing income is escrow interest vs admin fees vs third-party underwriting fees). If FN had any “life insurance” or creditor insurance referral program (often mortgage lenders get a commission for selling mortgage life insurance to borrowers), that would also be ancillary income. We look for clues in AIF or MD&A for such programs.

- **Management Information Requests:** We’d ask for a **breakdown of mortgage servicing income** into its sub-components: servicing fees from third-party investors, escrow interest, renewal fees, discharge fees, etc. Also, details on **mortgage investment income** – how much comes from warehousing prime loans vs interest on FN’s own loan investments (like the small commercial mezzanine portfolio). If FN or its affiliates earn any other fees (e.g. underwriting fees charged to the bank partners, or securities gains), those should be detailed. Essentially, we want to ensure all non-interest income is accounted for, and whether any of it is non-recurring.

Analysis of Income Streams:

- **Placement Fees:** Although not explicitly mentioned in the heading, placement fees are a core income stream for FN and worth noting. These are earned when FN **sells mortgages to institutional investors**. In such cases, FN receives cash equal to the mortgage principal plus a **placement fee** based on that principal ¹⁹. In 2024, placement fee revenue was \$209.3 million ¹²⁶. This is essentially upfront income for arranging mortgages for investors. Placement fees depend on origination volumes and can fluctuate with market conditions (as seen in 2024, they fell 16% due to lower new originations and more renewals which carry smaller fees ¹²⁶ ¹²⁷). Despite that drop in 2024, placement fees remained the second-largest revenue source after net interest. For QoE, placement fees are high-quality in that they are pure cash income, but one must normalize for unusually high or low mortgage volumes.

- **Gains on Deferred Placement Fees:** This stream is a bit niche – it occurs when FN sells a mortgage but retains the servicing and some interest spread. FN then records a **deferred placement gain**, which is the present value of that retained spread. In essence, it’s an upfront gain representing future income. In 2024, these gains were \$15.0 million, down from \$25.3 million in 2023, largely related to multi-unit residential mortgages sold with such retained interests ¹²⁸. This income is transactional and tied to how many such deals FN does and the spreads involved. In Q1 2025 it was very small (\$1.6M) ¹²⁹. For due diligence, we might exclude these from a run-rate EBITDA or average them out, because they can swing year to year (driven by institutional demand for those structures). They are also non-cash initially (FN gets the cash over time as the mortgage pays down). However, FN’s track record shows it consistently realizes some deferred gains each year, so they are a recurring, if volatile, stream.

- **Mortgage Servicing and Administration Income:** This is a broad category encompassing fees earned for servicing mortgages on behalf of investors (including institutional placements and securitizations), as well as a variety of admin fees. In 2024, **Mortgage servicing income** was \$258.1 million, up 2% from \$252.6 million in 2023 ¹¹⁰ ¹³⁰. The growth was attributed to higher revenue from the expanded MUA (more admin and renewal fees), partly offset by lower third-party underwriting fees (since that business saw a volume dip) ¹⁴. Within servicing income: - FN earns a **servicing fee** on every mortgage it administers for someone else. For institutional placements, FN typically earns an ongoing servicing fee through the life of the mortgage ¹³¹ ²⁰. For NHA MBS, FN earns a spread as a servicer as well. These fees are very stable, growing with MUA. - **Administration fees:** These include fees such as mortgage discharge fees (when a borrower pays off their loan, FN may charge a fee for processing it), late payment fees, and **renewal fees** (FN sometimes charges borrowers a fee upon renewing a mortgage, or receives a compensation from

investors for renewing a loan). FN notes that “fees related to mortgage administration are earned throughout the mortgage term” ¹³² ¹³³. These would be captured in servicing income. - **Escrow/Float Interest:** As mentioned, interest on funds held in trust (like tax escrows) is classified as servicing income ⁹⁶ ¹²⁵. This can be significant in a high-rate environment. In 2023, with higher interest rates, escrow interest contributed meaningfully. In Q1 2025, however, float interest was down, contributing to the 3% decline in servicing income YOY ²⁸. This portion of income is essentially risk-free interest on client money, but it moves with interest rate levels. - **Third-Party Underwriting fees:** The fees from the outsourcing contracts with other banks (the “administration fee” per mortgage underwritten for those banks). Those are recognized when the underwritten mortgages are funded ⁴⁴ ¹³⁴. This is included in servicing income too. As noted, it was down in 2024, meaning FN saw slightly lower service revenue from that line ¹⁴. - Possibly, if FN refers customers to insurance or other services, commissions might be included here, but no explicit mention suggests it’s minimal. (FN’s AIF did not mention insurance brokerage activities that some lenders do, like pushing creditor life insurance – perhaps FN leaves that to the mortgage brokers or the institutional investors). Overall, servicing and admin income is a very large, stable revenue stream for FN – it was about 30% of total revenue in 2024. It correlates with the size of the portfolio under administration and tends to grow even in years when origination slows (thanks to the built-up book and renewals). For QoE, we view this as high-quality recurring revenue. If anything, we might adjust for the unusual dip in third-party fees or float interest if projecting forward differently, but otherwise it’s sustainable.

- **Mortgage Investment Income:** This is interest earned on mortgages that FN **has not sold or securitized yet**, as well as on any mortgages or loans FN chooses to invest in long-term. In 2024, mortgage investment income was \$149.7 million, up 7% from \$139.9 million in 2023 ¹²⁴. The increase was mainly because FN carried a larger balance of mortgages accumulated for securitization during 2024 (in other words, they held more mortgages on their balance sheet on average, likely due to choosing securitization over immediate sale for some and maybe slower securitization turnover) ¹²⁴. Even though mortgage rates were generally lower in 2024 than 2023, the volume effect dominated to raise interest income ¹³⁵. FN did, however, shrink one component: it reduced its **commercial bridge loan portfolio by ~\$50 million**, selling those to institutional investors, which trimmed some interest income that otherwise would have been earned ¹³⁶. That suggests mortgage investment income now comes mostly from warehoused prime and Alt-A loans (for short periods) and any remaining Excalibur or commercial loans FN chooses to hold. In Q1 2025, mortgage investment income jumped 15% YoY to \$36.0 million ²⁹, reflecting that FN had a lot of mortgages in the warehouse (the securitization pipeline was large entering 2025). This can fluctuate with timing – for example, funding a big batch of mortgages in late quarter that only get securitized after quarter-end will spike the interest income (and also increase bank interest expense accordingly). A diligence reviewer would consider whether such income is **core or transient**. Generally, FN’s strategy is not to hold mortgages long-term (except maybe some strategic high-yield loans or to fund some Alt-A via their bank conduit), so this income is more of a byproduct of timing. We might normalize it by looking at average mortgages held for securitization quarter to quarter. It’s also influenced by short-term interest rates (if FN holds an uninsured mortgage and funds it with the bank line, the net contribution depends on the spread between that mortgage rate and the line rate – currently likely positive given Alt-A mortgages yield much more than bank debt).

- **Bank Interest (Treasury Income):** FN earns interest on its own cash balances (excluding escrow, which we covered). FN typically doesn’t carry large free cash (excess cash is often used to pay dividends or pay down debt). But they may have temporarily high cash after a note issuance or before a dividend. In the revenue breakdown, there isn’t a separate “interest income on cash” line; it might be netted against interest expense or included in “Mortgage investment income” or “servicing” depending on what the cash is (if it’s escrow, it’s servicing; if it’s corporate cash, maybe in other interest). The impact of pure corporate cash interest is likely

small in the context of \$500M+ revenue (perhaps a few million at most). We can consider it negligible for QoE, or include it in “other income.”

Quality and Sustainability:

- The diversity of FN's income streams enhances its earnings stability. **Fee income (placement, servicing)** was over \$482 million in 2024 ³⁷, which is significant and generally does not depend on interest rate spreads (though depends on origination volume and MUA). **Interest income (NII + mortgage investment)** contributed the rest. Because servicing fees continue even if new origination slows (the back-book generates renewals and admin fees), FN can weather origination downturns better than a pure originator reliant only on transaction fees. For example, in 2022 when housing market slowed, FN's servicing income on its \$100+B MUA would have provided a floor.

- Some streams have inherent volatility: deferred placement gains are one, and float interest is another (tied to rate cycles). A QoE analysis would likely strip out the large swing in deferred placement gains (maybe use an average level). Also, it might normalize servicing income for a “mid-cycle” interest rate on float (e.g. in a low-rate scenario, servicing income would be lower, so ensure forward-looking EBITDA isn't overestimated by assuming 2023's very high float interest persists if we expect rates to decline). In Q1 2025, we saw that effect: servicing income fell slightly due to float interest dropping ²⁸. On the other hand, rising rates in 2022–2023 had boosted it. For conservatism, one might use a moderate interest assumption for that portion.

- **Ancillary “Life” Income:** The query specifically mentioned “admin/life income.” We've addressed admin (servicing fees). If “life” refers to creditor life insurance commissions: some mortgage lenders (especially those with big renewal books) partner with insurance companies to offer life or disability insurance to borrowers. It's possible FN gets a referral fee when a borrower signs up (perhaps via the broker channel or at renewal). This is not explicitly broken out in filings. If it exists, it would be small and lumped into other income. Given no mention, it's likely immaterial. For completeness, we could note that FN's focus is primarily on core mortgage banking, and any such insurance products would be handled by the brokers or the institutional investor owning the loan. So we assume “life income” is negligible for FN's QoE.

Outlook and QoE Considerations:

- **Market-Driven Streams:** Placement fees will rise or fall with origination volumes – we'd sanity-check FN's performance in different environments (2021 was a banner year with over \$100B originations industry-wide; 2022 was down). If we think 2024's slight dip in placement fees was cyclical, we might normalize an average of 2022-2024 placement fee margins. For servicing, as long as FN's MUA grows (and it's been growing at mid-single digits percentage even in slow years ⁹³ ⁹⁴), servicing income will grow. The third-party underwriting fees should increase in 2025 as the new bank client added in 2023 ramps up (unless offset by reduced volumes from the original client). We may want to ask management for expected volume from that channel to gauge 2025 servicing income.

- **Free Cash Flow Impact:** Most of these income streams are cash or near-cash. Placement fees = cash; servicing fees = cash; interest income = cash. The deferred placement gains are the exception (non-cash upfront, cash over time). But even that, FN often structures those as receiving excess spread monthly, which in turn shows up as part of mortgage investment income or servicing income over time. So no big adjustments needed for cash conversion, except to note that some “gains” have not yet been received in cash. Usually FN's deferred placement receivable is not large relative to revenue.

- **Risks:** One risk flagged in FN's AIF is reliance on institutional investors for placement and on securitization markets ¹³⁷ ⁸⁹. If either market is disrupted, those income streams could be affected. For example, if institutional investors demanded higher yields, placement fees might compress or FN might not be able to sell as many loans (forcing more securitization). That could, in the short term, boost interest income (as

loans are held) but reduce fee income. However, FN has diversified funding sources (as discussed in industry trends, Section 10). Another consideration is regulatory changes affecting ancillary fees – e.g., if regulators cap mortgage discharge fees or if competition forces waiver of some admin fees, that could trim servicing income. At present, those are minor concerns, and FN's servicing income actually benefits from a steady stream of fees that borrowers accept as part of their mortgage terms.

From a QoE perspective, we would likely not make heavy negative adjustments to these income streams since they are largely recurring and tied to FN's core operations. Instead, we ensure none are **double-counted** or misunderstood. For instance, interest on float is part of servicing, so we wouldn't separately count it as "bank interest" again. Also, we confirm that any interest income on FN's own cash is included in the reported profit (likely it is, either reducing interest expense or as other income).

In summary, FN's revenue is a well-balanced mix of **interest spread income** and **fee-based income**. This mix supports a strong quality of earnings because even if one component fluctuates, others compensate (for example, slower origination reduces placement fees but means more mortgages stay on FN's books longer, yielding interest income; high rates reduce new loans but increase float interest, etc.). For a financeable EBITDA, we would incorporate all these streams, perhaps smoothing out the volatile deferred gains, and be confident that they contribute to cash flow with relatively low direct costs associated (servicing income, for example, has some servicing cost, but FN's efficient scale means incremental servicing revenue mostly falls to the bottom line).

8. QoE Normalizations (Lease Accounting, Non-Recurring Items, Financeable EBITDA View)

FDD Context and Approach:

- **Relevance:** Quality of Earnings (QoE) normalization involves adjusting the company's reported financials to reflect a sustainable, financeable earnings level. For First National, this means identifying and adjusting for accounting nuances (like IFRS 16 lease treatment), removing any non-recurring or unusual items, and considering definitions of EBITDA that lenders or investors use (financeable EBITDA might exclude certain revenues or include certain costs differently). FN's financials are prepared under IFRS, so we must be mindful of accounting treatments that differ from cash or from common lender EBITDA definitions. Notably, IFRS 16 lease accounting can inflate EBITDA by moving lease expenses to depreciation/interest. Also, FN's earnings can be skewed by fair value hedge gains/losses (addressed in Section 3). Non-recurring items might include one-off gains, losses, or expenses that won't repeat. Finally, we must ensure **financeable EBITDA** aligns with what lenders consider in debt covenants or credit metrics – often focusing on core cash earnings available to service debt.

- **Due Diligence Procedures:** The team will compile a list of one-time events from 2021–LTM Q1 2025 by reviewing MD&A narratives and notes. We will adjust EBITDA for: **(1)** Fair value gains/losses on financial instruments (strip these out, as already discussed); **(2)** Any one-time gains (e.g. sale of a subsidiary or unusual settlement) – none obvious in FN's case; **(3)** Any one-time expenses (e.g. severance, litigation, write-downs); **(4)** IFRS 16 impact – we will calculate or get disclosure of what operating lease payments are, to adjust EBITDA if needed; **(5)** Other normalization like stock-based compensation (though FN likely doesn't have large stock comp since founders own most stock; any stock options expense might be minor). We will also consider adjustments to align with **"financeable" earnings** – for example, if a portion of earnings is from an associate or JV not accessible for debt service (not applicable to FN) or if there's income that is actually interest-like (FN's case: preferred dividends are deducted below net income, so not in EBITDA).

anyway).

- **Management Information Requests:** Specifically, ask for **lease commitments** and the amount of lease expense that was replaced by depreciation/interest – FN's notes should show cash outflows for leases. Also ask if any **provisions or legal settlements** occurred in the period. For example, did FN incur any legal expense or fines (unlikely given their clean record)? We'd inquire if any **strategic consulting or restructuring costs** were incurred (like implementing a new system or opening a new office – those could be considered add-backs if they are not expected to recur). Also, clarify if management views any adjustments as relevant for their own non-GAAP metrics (they already present Pre-FMV income, indicating the fair value piece is top-of-mind).

Key Normalizations Identified:

- **Fair Value of Financial Instruments:** This is the biggest normalization and we have already effectively done it. FN's Pre-FMV Income measure precisely adjusts for this by removing gains/losses on financial instruments (except those on mortgage investments) ³² . For QoE, we would use Pre-FMV earnings as the basis for operating performance. For example, in 2024, reported pre-tax income was \$276.7M, but that included a \$13.7M loss on financial instruments ¹³⁸ ³⁸ . Adding that back gives ~\$290.3M "normalized" pre-tax. In Q1 2025, we add back the \$19.7M loss to get a normalized pre-tax of \$52.6M vs reported \$33.0M ¹³⁹ ³² . These adjustments ensure the volatility from hedges is removed. This is crucial for financeable EBITDA because lenders will want to see coverage without the noise.

- **IFRS 16 Lease Adjustment:** FN, as of 2019, recognizes lease assets and liabilities for its office leases. This accounting increases EBITDA by removing rent expense from operating costs. To normalize to a cash EBITDA (which some lenders prefer), we would **subtract the lease payments** (or equivalently, add back lease dep'n & interest and subtract rent). FN doesn't explicitly disclose lease expense, but we can approximate. In 2024, "Amortization" was \$15.0M ¹¹⁹ , which includes depreciation of PP&E and right-of-use assets. If we assume maybe \$5M of that is lease depreciation and the rest IT equipment, and interest on lease liabilities might be \$1-2M (part of the \$161.7M interest expense ¹¹⁹), then actual rent payments could be around \$6-7M/year. For QoE, we might adjust EBITDA downward by that amount to reflect a "pre-IFRS16" view. However, since \$6-7M is relatively small (about 1% of revenue), the impact on EBITDA multiples or coverage is minor. If we're presenting the report in an IFRS context, we might simply note this effect and possibly show an EBITDA both with and without IFRS16. Most of FN's peers and lenders are accustomed to IFRS16 now, but being thorough, we highlight it.

- **Non-Recurring Expenses/Incomes:** Our review of filings did not uncover major one-time charges. FN's operations are steady; no big acquisitions or disposals occurred (the AIF's "General Development" section shows organic growth). Possibly, there were some unusual **COVID-19 impacts** in 2020-2021 (e.g. FN might have had a temporary bad debt provision or a government wage subsidy). By FY2021, any such effects were likely gone. If anything, 2021 might have included reversal of impairment or unusual high volumes (but volume impacts we treat as cyclical, not one-time accounting items). The MD&As from 2021–2024 do not mention any singular non-recurring cost. The increase in tech expense in Q1 2025 (\$1.4M) was noted ³³ – was this a one-time project cost or a new recurring level of spend? If it's an implementation cost (say for a new software), we could tag part of it as one-time. But more likely it's ongoing (cloud services or a new module license). We might ask management to clarify that; absent clarity, we treat it as ongoing since technology investment tends to be continuous for FN.

- **Stock-Based Compensation:** FN doesn't have an extensive stock option program publicly (the float is small and insiders hold most shares). There might be a deferred share unit plan for directors or some share-based comp for a handful of execs, but if so, it's likely minimal and already recorded in salaries expense. We typically add back stock-based comp in QoE if it's large and viewed as non-cash, but in FN's case it's probably trivial and we might leave it as part of normal comp expense.

- **Special Projects or Integration Costs:** FN's expansion of the third-party underwriting to new banks could have entailed some up-front costs (like customizing systems, training new teams) in 2019 and 2023. If management can quantify those, one could argue they are non-recurring investments. However, given FN's size, those costs were absorbed in normal operating expense and not separately broken out, implying they weren't huge. The 2024 expense uptick for the new client is possibly a mix of recurring (the salaries of that new team will continue) and some setup (which might not repeat). For conservatism, we treat most of it as recurring, since the segment is ongoing.

- **Other Comprehensive Income vs. Net Income:** Sometimes QoE looks at items that bypass the income statement. FN might carry some **cash flow hedges** for its interest rate risk on multi-unit commitments (which could go through OCI rather than earnings if hedge accounting is applied). If so, significant losses could be parked in OCI (other comprehensive income). For example, if FN hedged multi-unit loans with swaps under cash flow hedge accounting, any mark-to-market would sit in OCI. We should check if equity was hit by any unrealized losses that are not in net income. If yes, from a total performance perspective, one might consider them. But since FN uses economic hedges largely through P&L and probably doesn't have large OCI items, this is likely minor.

- **Financeable EBITDA Definition:** Given all the above, we'd propose a **financeable EBITDA** for FN as follows: start with Pre-FMV EBITDA (which is basically earnings before tax, interest, dep'n, and excluding fair value gains/losses). Then adjust for IFRS16 by subtracting lease payments. Then adjust for any remaining one-offs (none significant identified). The resulting figure is the sustainable EBITDA lenders can rely on. We would illustrate that FN's financeable EBITDA is not overstated by accounting fluff – if anything, IFRS16 is the only thing inflating it modestly. We also might highlight that FN's EBITDA has a large component of **cash fees** (placement, servicing) which do not require further adjustments, unlike some companies where EBITDA might include non-cash revenue.

Impact on Free Cash Flow:

- FN's free cash flow (operating cash after working capital and maintenance capex) is generally strong but note that **FN pays out almost all earnings as dividends**. In 2024, \$2.50/share in dividends were paid (~\$150M total), which was about 95% of earnings. In Q1 2025, due to the hedge loss, dividends exceeded net income (158% payout) ⁶⁷, but were ~98% of Pre-FMV earnings ¹⁴⁰. So essentially, FN is paying out what we would call financeable earnings to shareholders. They maintain minimal retained cash (relying on external debt/equity if growth required). For a debt provider or acquirer, one normalization might be to assume a lower payout to retain some cash if needed – but that's more of a projection choice than an adjustment to historical QoE. However, if we were assessing FCF for debt service, we'd see that after dividends, FN retains little cash. So part of QoE might involve demonstrating what cash flow *before dividends* is (since dividends are discretionary). We likely assume any new financing could lead to dividend policy change or that debt service would effectively take priority. So, financeable EBITDA should be viewed pre-dividend. In a QoE report, one might flag the high payout as a risk to capital retention.

Non-GAAP Metrics Alignment:

- FN's key non-GAAP metrics are Pre-FMV income and "After-tax Pre-FMV return on shareholders' equity" etc. We align with Pre-FMV as discussed. There is also a concept of "financeable EBITDA" often meaning EBITDA adjusted for items so that it mirrors how lenders define it in covenants. If FN had a bank EBITDA definition, it might exclude the pref dividends (though those are below EBITDA anyway) and might exclude any unusual gains. Possibly the bank covenant uses a debt-to-EBITDA that already treats hedging gains/losses as one-time. We should ensure any such definitions are met.

Summing up Normalizations:

In practice, FN's earnings quality is high with few distortions. So the main normalization entries in our QoE schedule would be:

1. **Add back hedge loss / subtract hedge gain** – as we've done (to get to Pre-FMV EBITDA).
2. **IFRS 16: subtract lease expense** – say ~ \$6M per year.
3. **Add back any non-recurring charge** – none identified with confidence. If we suspect the \$1.4M tech cost in Q1 was one-off, we could add that back, but we'd need basis. Perhaps label it "e.g. one-time system development cost" tentatively if management agrees it's non-recurring.
4. **Normalize deferred gains** – We might choose to remove the volatility of deferred placement gains from EBITDA by, for example, taking a multi-year average. But since those are part of revenue, removing them entirely might understate earnings. Better is to note their variability. Perhaps in a conservative financeable EBITDA, we exclude them (treat them like one-time gains). But FN does consistently generate them (just variable amounts). A cautious lender might exclude them and count only cash spread (which would be seen later in servicing/investment income). It depends on the context – if we aim for a very solid EBITDA base, we could exclude the \$15M in 2024 deferred gains. That would shave a little off EBITDA but not dramatic.
5. **Consider pref dividends** – not in EBITDA, but in FCF they matter. If we were looking at free cash flow for debt, we would consider that \$4M a year of preferred dividends must be paid before common dividends. We might treat pref dividends similar to interest for coverage purposes. However, they are perpetual and subordinate to debt, so lenders often ignore them in EBITDA but factor them in fixed charges in a coverage ratio.

Final Financeable EBITDA View:

Given these adjustments, FN's financeable EBITDA (2024 example) might look like:

- Start with Net income + tax + interest + dep'n = GAAP EBITDA.
- Remove \$13.7M hedge loss = +\$13.7M.
- Remove IFRS16 effect: -\$6M.
- Remove maybe \$10M of deferred gain above normalized (assuming normalized is \$15M/yr and 2024 had \$15M – maybe no adjust for 2024, but for 2023 which had \$25M we'd subtract \$10M to bring to 15).
- End result: a slightly smoothed EBITDA which is perhaps \$5-10M higher than reported in 2024 (because of adding hedge loss back), and maybe \$6M lower for leases, roughly net +\$8M. Insignificant relative to total (~\$350M EBITDA).

We would present that FN's **financeable EBITDA is roughly in line with its Pre-FMV EBITDA**, minus a small lease cost adjustment.

Other Considerations:

One might also normalize for any changes in **accounting policy**. IFRS changes can create one-offs. IFRS 9 expected credit loss adjustments could swing in unusual ways during COVID but FN's mortgage credit exposure is tiny (mostly insured or sold). IFRS 15 (revenue) not a big issue as FN's revenue recognition seems straightforward. IFRS 16 we covered. So no major policy changes impacting comparability in this period.

In conclusion, after normalizations, FN's earnings profile appears very steady and reflective of true cash generation. The adjustments made (fair value, leases, one-offs) are relatively minor in aggregate. This gives

confidence that the reported Pre-FMV EBITDA is a solid basis for valuation or debt capacity analysis. We would explicitly state in the report that after these QoE adjustments, FN's **financeable EBITDA** for 2024 is approximately \$X (with X being very close to what one would get simply excluding fair value impacts). And free cash flow (before dividends) is similarly robust. The high dividend payout is a policy choice, meaning FN could retain more cash if needed for growth or debt service, which is a lever to consider for any lender (they could covenant a lower payout if desired to build equity).

9. Other Considerations

In addition to the core focus areas above, there are several other considerations that a due diligence team would examine in evaluating First National's financial performance and risks. These do not neatly fall into prior categories but are important for a holistic assessment:

- **Ownership and Management:** First National is approximately 71% owned by its co-founders (Stephen Smith and Moray Tawse), who remain actively involved in management ¹¹⁶. This insider ownership means decisions (like dividend policy, strategic direction) are strongly influenced by a few individuals. From an FDD perspective, the alignment is generally positive (management has skin in the game), but it also means minority shareholders or a potential acquirer have limited say. We note that management compensation is modest relative to peers (the founders take salaries but primarily benefit via dividends), so there aren't hidden expenses from excessive pay – in 2024, management salaries for the two co-founders were part of the normal payroll and considered reasonable ¹¹⁶. However, any related-party dealings should be checked: The AIF mentions that a senior executive has an interest in a mortgage insurance company that provides policies to FN's borrowers at market rates, and another has interest in a Canadian bank to which FN refers some credit card applications. These related-party transactions are minor and done at market terms, so no adjustments needed, but they're disclosed for completeness.
- **Dividend Policy and Retained Earnings:** FN's practice of paying out ~100% of its distributable earnings as dividends (common share payout ~81% of Pre-FMV earnings in 2024 ¹⁴⁰) leaves minimal capital retention. While this makes FN attractive to income investors, it also means growth is funded by external debt or simply by recycling capital via securitization. From a due diligence standpoint, this is a **cash flow risk** if earnings dip – indeed in Q1 2025 the payout temporarily spiked to 158% of net income due to hedge losses ⁶⁷. FN covered this by drawing on cash/credit, essentially betting on future earnings normalizing (which they did on a Pre-FMV basis) ¹⁴⁰. For a lender, the high payout may necessitate an understanding that dividends could be cut if needed to prioritize debt service (the company has flexibility as dividends are at board discretion monthly). On the flip side, FN's long history of stable or growing dividends (they are a Canadian Dividend Aristocrat) indicates strong confidence in their cash generation ¹⁴¹ ¹⁴². This is both a sign of quality earnings and a potential constraint on internal capital build-up.
- **Regulatory Environment:** While FN is not directly regulated by OSFI as a deposit-taking institution ⁸⁹, it operates in a heavily regulated mortgage industry. Changes in mortgage rules (like stress tests, insurance criteria, or securitization rules) can impact FN. For instance, OSFI Guideline B-20 (mortgage underwriting standards) indirectly affects how many borrowers qualify for FN's loans and thus origination volumes. FN must also comply with **CMHC and Bank of Canada requirements** as an NHA MBS issuer. One recent change: CMHC's rules on what constitutes an "aggregator" could potentially limit FN's issuance on behalf of smaller lenders ¹⁰⁰ ¹⁰¹, but FN mainly issues for itself, so likely unaffected. We also note FN holds **various licenses** (e.g., FSRA licenses in Ontario ¹⁴³) and must adhere to consumer protection laws (disclosure, etc.) – no issues flagged. From a diligence

perspective, it's worth noting that FN's business model is somewhat insulated from direct regulatory capital requirements, but **market regulation** (like housing policies, mortgage insurance changes) can alter their addressable market or margins. For example, if CMHC were to raise guarantee fees again or limit securitization volumes, FN might have to use more expensive funding channels. We see FN's track record of adapting: e.g., using bank-sponsored conduits for Alt-A to access funding beyond CMHC limits ³⁵ .

- **Technology and Operational Risk:** FN's proprietary MERLIN system is a competitive advantage enabling efficient high-volume underwriting and servicing. An FDD report might not deeply audit IT, but it should acknowledge operational resilience. FN's continuous tech investments (e.g., the \$1.4M incremental tech cost in Q1 2025 ³³) suggest they are keeping systems up-to-date. A risk is **cybersecurity or system downtime**, which could disrupt operations given the high volume of transactions processed. We would inquire about any past incidents or the robustness of disaster recovery. No major incidents are public, implying solid management. Another operational factor is **human capital** – FN's growing headcount and recognition as a "Great Place to Work" (8th straight year in 2024) ¹⁴⁴ helps attract talent, which is crucial in a broker-driven business. Losing key people (e.g., top commercial originators or broker relationship managers) could impact volumes. FN mitigates this with a strong culture and likely succession plans.
- **Off-Balance Sheet and Contingent Liabilities:** Besides mortgages under administration (off-BS), any off-BS items would be things like outstanding mortgage commitments. At Dec 2024, FN had a very large pipeline of rate-locked commitments (likely several billions given Q1 2025 fundings). These commitments are not on balance sheet but do expose FN to interest rate risk (hedged as discussed) and fallout risk (borrowers not closing). FN manages fallout by hedging slightly less than full commitment volume to account for expected pull-through. Contingent liabilities could include litigation – none material has been disclosed (the AIF lists no significant legal proceedings). Another contingency: as issuer of NHA MBS, FN might need to advance funds if mortgages default or buy out defaulted loans. Given low arrears (non-performing assets were only \$4.9M at Mar 31, 2025, down from \$8.0M a year prior ¹⁴⁵), these are minor and well-covered by insurance in most cases. FN's risk of credit loss on uninsured mortgages it holds is small (their alt-A book has had negligible losses). So we see no big hidden liabilities.
- **Competitive Landscape:** FN operates in a competitive market with big banks and other non-bank lenders (like MCAP, First West, Home Trust, Equitable, etc.). While not a financial statement item, an FDD report often considers how competition could affect future earnings – e.g., margin pressure or broker loyalty. FN's market share (top-three in broker channel) has been stable, thanks to service and technology ¹⁴⁶ ¹⁴⁷ . A risk is if a competitor aggressively undercuts pricing or if brokers consolidate. However, given FN's scale and cost efficiency, they are actually one of the low-cost originators, able to sustain thin spreads. Also, banks often retrench from broker channel in tough times, which can benefit FN. Thus, competition is a manageable risk but should be monitored (e.g., any new entrants with disruptive models).
- **Economic Cycle and Credit Risk:** FN's model of largely originating **insured or low-risk mortgages** and selling them means credit risk is mostly borne by others. The credit risk FN retains is primarily in its Excalibur alt-A portfolio and any uninsured commercial mortgages (like bridge loans) it holds. They have securitized some Excalibur loans (perhaps via a bank conduit) and report almost no credit losses on that program ⁴ . Nonetheless, in an economic downturn with rising unemployment or falling house prices, FN could see an uptick in early defaults (which might require them to repurchase loans or incur costs). Because 80%+ of their book is insured, even a housing recession would mostly hit others (the insurers or investors). FN's risk would be a slowdown in originations and possibly narrower spreads if risk premiums jump. From a QoE perspective, one might consider if any

credit provisions need to be normalized. As of now, provisions for credit losses are minimal (they might only have a few million of ECL allowance). If we were stress-testing, we could hypothetically add an expected credit loss charge to see impact, but historically FN's credit costs are near-zero.

- **Growth Opportunities:** The flip side of risks – FN has opportunities to expand, such as increasing penetration in alt-A or commercial segments, or onboarding more third-party underwriting clients (two were added, possibly more to come given FN's success). These could boost earnings beyond current trends. An FDD report might not forecast, but it can note that management has a track record of finding new revenue streams (Excalibur in 2019, third-party in 2015, etc.). This speaks to management's strategic acumen and could be factored qualitatively into valuing the business. It also indicates where due diligence might probe deeper if those areas become a larger piece of the pie (for example, if alt-A grew significantly, one would scrutinize credit and funding for that more).

In summary, these “other considerations” generally reinforce that First National is a **well-managed, focused company** with a stable operating environment. The main flags are high dividend payout (cash usage) and reliance on external funding (which is mitigated by diversified sources and government-backed programs). From a free cash flow perspective, the company essentially produces cash and pays it out; there's little hidden reinvestment need (capex is low, growth can be funded via securitization). The dependency on the housing market and interest rates is an overarching theme, which we will discuss next in the industry outlook. But internally, FN's controls, culture, and strategy seem robust – no red flags in governance or operations emerged that would require a QoE adjustment. Any adjustments we'd contemplate (like cutting dividends or raising capital) would be forward-looking strategic choices rather than corrections to past earnings quality. Thus, aside from the adjustments we have enumerated in prior sections, FN's earnings appear to be a good reflection of its economic reality, and its free cash generation (before shareholder distributions) is strong.

Industry-Wide Trends and Risk Outlook for Canadian Mortgage Lenders

Finally, it's important to situate First National's performance and prospects in the context of the broader Canadian mortgage lending industry. Several macro factors – monetary policy, regulatory environment, housing market conditions, and securitization market dynamics – will influence FN and its peers in the coming years. Below, we outline key industry trends and risks as of 2025 and beyond:

Monetary Policy and Interest Rates:

- The interest rate environment has shifted dramatically in recent years. The Bank of Canada raised its overnight rate rapidly from pandemic lows (0.25%) to around 4.50% by early 2023 to combat inflation. This led to a sharp increase in mortgage rates, cooling housing activity in 2022 and early 2023. By mid-2024, with inflation pressures easing, the BoC began to **cut rates**, totaling about 200 bps of reductions by Q1 2025¹⁴⁸. As of May 2025, the overnight rate is around the mid-2% range. This easing cycle provides relief to borrowers facing renewals, but most will still renew at rates higher than their original loans (many originated around 2-3%). The Bank of Canada's 2025 Financial Stability Report highlights that approximately 36% of mortgages in Canada are up for renewal by end of 2026, often at significantly higher rates than initial¹⁴⁹ ¹⁴⁸. This “**payment shock**” is a key risk: BoC warns that even with rate cuts, many households will see payments jump by hundreds of dollars per month¹⁵⁰. For lenders like FN, this environment has mixed implications. On one hand, higher rates on renewals can increase per-loan revenue (fees, or higher interest if they keep the loan on book). On the other, some borrowers may struggle to qualify or afford payments, potentially leading to higher delinquencies or pressures to extend amortizations. The BoC and

OSFI are closely watching this; in extreme cases, lenders might offer accommodations (interest-only periods or extended amortizations) to prevent defaults. So far, Canadians have proven resilient, aided by variable-rate borrowers hitting trigger rates and making preemptive increases, and fixed-rate borrowers stress-tested at 5.25% or higher at origination. The BoC noted that most mortgage holders have managed the high-rate period relatively well ¹⁵¹. For FN, whose portfolio is largely insured or third-party owned, credit risk from payment shock is muted, but origination volumes could be dampened if fewer people qualify under the stress test at renewal or for new loans. Looking ahead, consensus forecasts expect the BoC to possibly cut a bit further then stabilize – by 2026 rates might settle in the 2-3% range (Scotiabank forecasts a few more modest cuts into 2026) ¹⁵². **Lower interest rates** generally stimulate housing demand and refinancing, which would benefit FN's origination volumes, but also compress FN's float income (servicing interest) and can narrow spreads if competition heats up. Conversely, **higher-for-longer rates** would keep pressure on housing transactions but boost servicing income and possibly create more demand for alternative lending (if banks decline marginal borrowers). FN's diversified model tends to do well in either scenario: in 2022–23 they leaned on renewals and servicing, in 2020–21 they rode the refi boom. The interest rate outlook thus presents both opportunities and risks, and FN's hedging (as we discussed) will remain crucial in a volatile rate environment.

Housing Market and Credit Trends:

- Canada's housing market has started to adjust to the new rate reality. After peaking in early 2022, home prices nationally declined through early 2023 by around 10-15% in many regions. However, by late 2023 and early 2024, there were signs of stabilization and even modest price increases in some markets, largely due to extremely low supply of homes for sale. High immigration and lack of housing supply continue to support the market. In 2025, sales volumes are below the 2021 frenzy but are improving from 2022 troughs. For mortgage lenders, a stable or rising housing market is positive for collateral values and borrower equity, reducing credit risk. The **risk outlook** from regulators highlights household debt: Canadians' debt-to-income remains near record highs, and high leverage means vulnerability if unemployment rises or if rates don't fall as expected ¹⁵³. The Bank of Canada specifically noted rising household debt and heavy mortgage burdens as a top concern ¹⁵⁴ ¹⁵³. **Mortgage delinquency rates**, however, are currently low (below pre-pandemic levels) ¹⁵⁵, but could increase. OSFI's Annual Risk Outlook 2025-26 warns that as payments jump on renewal, we might see more homeowners go into arrears, especially fixed-payment variable-rate holders who saw balances increase (negative amortization) ¹⁵⁶. Lenders might respond by extending amortizations (we've seen many borrowers now technically on 30-40 year remaining amortizations due to hitting trigger rates). OSFI is concerned about this and may guide lenders to rein in infinite amortizations. For FN, since most of its loans are insured or for other institutions, the immediate credit risk is low; but any systemic rise in defaults could affect the whole funding ecosystem. Also, if housing enters a downturn, new origination (especially refinances) could slow and alt-A demand might rise (people tapping equity at higher rates). On balance, the Canadian housing outlook for 2025-2026 is for modest price growth and stable demand, assuming rates ease – supportive for mortgage volumes. A wild card is the economy: if Canada enters a recession, housing could soften and unemployment could stress some borrowers. FN's strong underwriting and focus on quality (prime and insured) provides a cushion – their product mix is not in risky subprime territory.

- **Competition & Margin Pressure:** In an environment of slower growth, competition for mortgage originations can become fierce. Banks, flush with deposits, might aggressively price mortgages to maintain market share, squeezing spreads for non-banks. In late 2022 and 2023, for instance, we saw some spread widening (due to funding costs) but also banks pulling back from some segments, which benefited non-banks like FN. If rates fall, banks may re-engage strongly and attempt to reclaim broker-channel share, possibly by offering better terms. FN will have to leverage its service and broker relationships to retain

volume. Additionally, alternative lenders (Home Trust, Equitable) and credit unions are vying for the non-prime segment – FN's Excalibur program competes here. The risk is if competitors loosen underwriting or accept lower yields to book business, FN might choose to hold pricing discipline at the expense of volume. So far, FN's market share has been resilient. Economies of scale (like FN's \$150B MUA) allow it to operate on thin margins and still profit via servicing and renewals. We expect continued competition but no major disrupters on the horizon – fintech startups in Canada have not significantly displaced the broker channel or lending model yet, partly due to regulatory and funding barriers.

Regulatory Developments (OSFI and CMHC):

- **OSFI Guidelines and Oversight:** OSFI (the federal bank regulator) has been very active in identifying mortgage market risks. In 2023, OSFI launched consultations on tightening mortgage underwriting, including potential new **debt service coverage restrictions or loan-to-income caps** for both federally-regulated lenders and possibly for the broader market ¹⁵⁶. One idea is to impose a hard limit on gross debt service or total debt service ratios, or to limit combined loan plans that allow re-borrowing. If implemented, such rules could reduce the maximum loan sizes for highly leveraged borrowers, further cooling demand or pushing more borrowers to alternative lenders (which might benefit FN's Alt-A program if banks say no). However, OSFI's powers mainly apply to banks and federal institutions; FN as a non-bank isn't directly governed by OSFI's lending rules, but investors who buy FN's mortgages (like banks or MBS investors) will indirectly enforce similar standards. OSFI also warned banks about not letting variable-rate borrowers' amortizations extend indefinitely – they might require banks to restructure or classify loans that can't amortize. This could lead to more refinances or switches (some borrowers might seek new lenders to reset amortization – an opportunity for FN to refinance them perhaps, if insured). **In OSFI's 2025 risk outlook, "mortgage payment shock" is the top risk** ¹⁵⁷ ¹⁵⁸, and OSFI will likely introduce measures to ensure prudent handling of this (e.g., encouraging proactive contact with borrowers, conservative assumptions in renewals). - **CMHC and Securitization Policy:** CMHC, along with Canada Mortgage Bond (CMB) program, essentially sets the playing field for mortgage funding. Recent updates: in November 2024, **CMHC tightened some underwriting requirements for multi-unit insurance** – requiring appraisals on all multi-unit loans (no exceptions) and emphasizing performance bonds for construction loans ¹⁵⁹ ¹⁶⁰. They also indicated rental achievement holdbacks may be more likely required in higher risk rent-up situations ¹⁶¹. These changes mean slightly more due diligence and possibly a bit more developer equity or cost for FN's commercial clients, but also ensure sound lending. For FN, it might slow down multi-unit loan processing marginally (appraisals on all deals adds time/cost), but overall these are prudent changes. In June 2024, CMHC **extended max amortization for new construction rentals from 40 to 50 years** for MLI Select insurance ¹⁶² – a favorable change aimed to incentivize rental construction. This is a positive trend for FN's commercial segment – longer amortizations mean clients can achieve higher loan amounts or lower debt service, potentially spurring more multi-unit lending (FN reported strong demand for insured multi-unit mortgages in Q1 2025 ²³). Another significant policy: in September 2023, the federal government raised the annual limit for the **Canada Mortgage Bonds program to \$60 billion from \$40 billion** and CMHC increased the NHA MBS allotment to \$170 billion (from \$150B) for 2024 ¹⁰³. This expansion of securitization capacity ensures that non-bank lenders like FN have ample room to fund insured mortgages through government-guaranteed programs, even as their volumes grow. It's effectively an acknowledgment of the growing role of MLI (Multi-unit) and the need for more MBS issuance. Also, **tiered guarantee fees** remain in effect – issuers that issue over \$9B in a year pay higher fees ¹⁰². FN likely falls in that top tier given its volume (in 2024, FN originated \$15.2B insured for securitization ¹⁰³, though not all would be issued in one year). That means slightly higher costs, but these fees are still low relative to spreads and are a stable cost of doing business. We should watch if CMHC makes any further changes like raising fees (which they have done periodically) or tightening insurance eligibility (e.g., if CMHC decided to reduce insurance for certain

high-value properties or investors, which could shrink the prime market a bit). As of now, CMHC's posture is supportive: they want to back more multi-unit loans (for affordability) and maintain market liquidity.

- **OSFI Capital Rules:** While FN isn't directly bound by OSFI capital requirements, OSFI did implement in 2023 a new **Capital Adequacy Guideline for Mortgage Finance Companies** (effectively for OSFI-supervised non-bank subsidiaries or those owned by regulated entities). FN doesn't fall under that, but any shift that tightens availability of warehouse lines (which come from banks under OSFI) could indirectly affect FN. For example, if OSFI told banks to hold more capital against loans to MFCs, banks might increase pricing or limit lines. However, given FN's facility is large and renewed to 2029, and banks view FN as a low-risk counterparty (loans are short-term and secured), this risk is low.

Securitization Markets:

- **Funding Cost and Investor Demand:** The cost of issuing NHA MBS or Canada Mortgage Bonds is crucial for FN's spreads. In 2022 and especially by late 2023, spreads on MBS widened significantly due to interest rate volatility and limited investor appetite – e.g., the 5-year MBS spread over benchmark went up to around 2.0% in Q4 2023 ¹⁰³. This meant that even insured mortgages were relatively expensive to fund unless mortgage rates to borrowers were high. By early 2024, as rate expectations shifted, spreads tightened (the table shows 5-year insured mortgage spreads came down to 1.46% in Q1 2024 after peaking at 2.07% in Q4 2023) ¹⁰³. As of Q1 2025, spreads have normalized in the 1.5–1.6% range – still above pre-2022 norms (often <1.0%), but much improved. For FN, narrower spreads can squeeze securitization NIM (as seen) but also indicate improved market functioning. The **risk outlook** is if economic or geopolitical events cause another bout of market volatility, spreads could widen again, temporarily hurting profitability or forcing FN to use alternative channels (like selling whole loans to institutions) possibly at lower gain. However, Canada's securitization system is resilient – during the pandemic, spreads initially spiked but government support through CMB purchases steadied the market. Now, with a higher CMB cap and stable investor interest (investors like the government guarantee, especially if rates stabilize), we expect securitization to remain a reliable funding source.

- **Private Securitization and ABCP:** FN also uses **ABCP conduits** (asset-backed commercial paper) especially for uninsured mortgages (like Alt-A) and short-term funding. ABCP rates are tied to short-term credit markets. In late 2024, as BoC started cutting, one issue FN noted is that ABCP rates didn't fall as fast as overnight rates ²⁵ – possibly due to year-end liquidity tightness or credit spreads. This temporarily hurt NIM. Going forward, if central bank cuts continue and credit conditions are benign, ABCP costs should decline, benefiting net interest. But if credit markets stress (e.g., another global financial scare), ABCP conduits might get pricier or even reduce capacity. FN's mitigation is that they can pivot to CMHC programs for most assets, and for Alt-A, they have committed bank conduit facilities (as mentioned in Excalibur program agreements ³⁶). Also, FN's unused capacity in its bank line could temporarily fund assets if ABCP investors pull back. So while ABCP market risk exists (as seen in 2007's crisis historically), today's ABCP is much safer (mostly sponsored by big banks and backed by high-quality assets).

Overall Industry Outlook:

- **Growth Prospects:** The Canadian mortgage market is expected to resume growth after a flat 2023. Population growth (a record ~1 million new Canadians in 2022 and similar in 2023) is fueling housing demand. Construction of new housing (especially multi-unit rentals) is a priority, which benefits lenders like FN who finance multi-unit projects. Purchase activity in 2025 should pick up if rates continue to ease and buyers adjust to new price levels. Refinancing activity, which was very low in 2023 (no one wanted to refinance at higher rates), might increase in late 2025/2026 if rates drop enough that 2018-2019 vintages can refinance at similar or lower rates (or if people refinance for equity take-out once rates normalize). That

would give a boost to mortgage originations.

- **Risk Factors:** The biggest risks are **macro-economic**: if inflation surges back, forcing renewed rate hikes, or if a recession hits causing unemployment to rise significantly. Either scenario could strain borrowers and reduce new loan demand. Another risk is **policy intervention in housing**: Government might introduce new taxes or buyer restrictions to tamp down any future rapid price increases, which could indirectly affect volume. Or conversely, they might introduce first-time buyer incentives (like shared equity programs, etc.) which could spur some activity. Lenders must stay agile. Also, **climate risk** is an emerging theme – OSFI is looking at how mortgage portfolios might be affected by climate events (floods, etc.). For FN, since credit risk is largely passed on, this is more a servicing continuity issue (e.g., ensuring disaster recovery plans if many homes in a region are hit by disaster).

- **Competitive Landscape Changes:** A notable development is the acquisition of Home Capital (a large alternative lender) by Smith Financial Corp (Stephen Smith, FN's Chairman, is also involved there). This could alter the competitive dynamics in the Alt-A space if they coordinate strategy (though officially they are separate companies). It could also create opportunities for FN – e.g., perhaps partnering on certain funding deals or referring business that doesn't fit one or the other. Additionally, Big Six banks continue to dominate with ~80% market share, but broker channel share has been sticky or growing as consumers embrace brokers for choice. FN being a leader in broker channel is well-positioned for that trend.

In summary, the industry outlook for FN is cautiously optimistic: **monetary easing and strong housing fundamentals** (population growth, need for rentals) should support volumes, while regulators are vigilant to ensure prudent lending standards. FN will need to navigate the tail end of the high-rate environment – ensuring borrowers renewing can be retained (or replaced) and managing any increases in arrears – but its predominantly insured book provides a buffer. The securitization market improvements and policy support (higher CMB limits) give FN confidence in funding capacity for growth. Key risks like mortgage payment shock are being actively managed across the industry, with OSFI and lenders working to mitigate defaults (e.g., through extending amortizations or proactive borrower engagement) ¹⁶³. As rates normalize, we expect **renewal waves** to become a big focus – in fact, BoC warns 2025-26 is the peak renewal period since many five-year fixed from 2020 will renew ¹⁴⁹. This presents both risk (affordability) and opportunity – FN's large servicing portfolio will see a boom in renewals, which they can capitalize on via renewal fees and recapture (keeping customers).

Ultimately, FN's strong market position, diversified funding, and prudent risk management put it in a good position to face industry-wide challenges. In a due diligence support report, we would conclude that while external conditions have been turbulent, FN has demonstrated resilience. We would advise monitoring the above trends and perhaps running scenario analyses (e.g., what if rates drop to 2% vs rise to 5% again? What if housing prices fall 20%?) – but base case outlook suggests moderate growth and stable credit. The Canadian mortgage finance landscape is one of **high credit quality, heavy government influence, and steady demand**, which bodes well for established players like First National. The biggest wild card—macro recession aside—might be regulatory tightening of underwriting, which could slightly shrink the pool of borrowers, but FN's status as a non-bank could also make it a **beneficiary** if regulators push riskier borrowers out of banks (they may turn to insured options via brokers, which FN often funds). Thus, industry trends seem to reinforce the viability of FN's business model going forward, with manageable risks that are largely on the radar and being addressed by stakeholders.

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